

ISRAEL AEROSPACE INDUSTRIES LTD.

CONSOLIDATED FINANCIAL STATEMENTS

AS OF DECEMBER 31, 2024

This English version of the financial statements has been prepared solely for the convenience of the reader.
The Hebrew version of the financial statements is the binding version.

ISRAEL AEROSPACE INDUSTRIES LTD.

CONSOLIDATED FINANCIAL STATEMENTS

AS OF DECEMBER 31, 2024

IN U.S. DOLLARS IN MILLIONS

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The Board of Directors' and Management's Report
Regarding the Effectiveness of Internal Control over Financial Reporting
Pursuant to the Israeli Government Companies Regulations
(Additional Reports regarding the Effectiveness of Internal Control over Financial Reporting), 2007

Management, with the supervision and approval of the board of directors of Israel Aerospace Industries Ltd. ("the Company"), are responsible for establishing and maintaining adequate internal control over financial reporting in the Company. Internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with International Financial Reporting Standards ("IFRS"), the provisions of the Israeli Securities Regulations (Annual Financial Statements), 2010 and the provisions of the Israeli Government Companies Law, 1975. Because of its inherent limitations, internal control over financial reporting is not designed to provide absolute assurance that misstatements in the financial statements will be prevented or detected.

The board of directors and management tested and evaluated the internal control over financial reporting in the Company and its effectiveness based on the COSO criteria. Based on this evaluation, the Company's board of directors and management concluded that the internal control over financial reporting in the Company for the period ended December 31, 2024 is effective.

Date: March 12, 2025



Prof. Gabby Sarusi
Director (*)

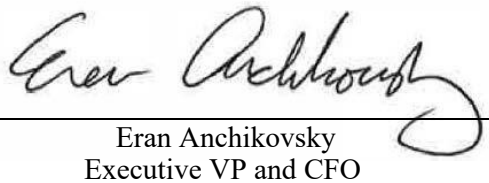
(*) Authorized by the Board of Directors to sign the financial statements in the absence of permanent COB.

Date: March 12, 2025



Boaz Levy
President and CEO

Date: March 12, 2025



Eran Anchikovsky
Executive VP and CFO

GOVERNMENT COMPANIES REGULATIONS
(ADDITIONAL REPORT REGARDING ACTIONS TAKEN AND STATEMENTS MADE TO SECURE THE ACCURACY OF THE FINANCIAL STATEMENTS AND DIRECTORS' REPORT), 2005

I, Prof. Gabby Sarusi, certify that:

1. I have reviewed the periodic report, as defined in Chapter B to the Israel Securities Regulations (Periodic and Immediate Reports), 1970 of Israel Aerospace Industries Ltd. ("the Company") for 2024 ("the reports").

2. To the best of my knowledge and after reviewing the reports, they do not contain any untrue statement of a material fact or omit to state a material fact necessary not to make the statements made, in light of the circumstances under which such statements were made, misleading with respect to the period covered by the reports.

3. To the best of my knowledge and after reviewing the reports, the financial statements and other financial information included in the directors' report fairly present, in all material respects, the financial position, results of operations, changes in equity and cash flows of the Company as of and for the periods presented in the reports.

4. The Company's other certifying officers and I are responsible for establishing and maintaining disclosure controls and procedures in the Company as required in the reports. Accordingly, we have designed such controls and procedures, or had such controls and procedures established under our charge, designed to ensure that material information relating to the Company, including its subsidiaries, is made known to us by others in the Company and in the subsidiaries, particularly during the period in which the reports were prepared.

5. The Company's other certifying officers and I have disclosed to the Company's auditors and the Company's board of directors, based on our most recent evaluation:

   a. All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the Company's ability to record, process, summarize and report financial information;

   b. Any fraud, whether or not material, that involves management or other employees who have a significant role in the Company's internal control over financial reporting.

There is nothing in the aforesaid to derogate from my responsibility or the responsibility of anyone else, pursuant to any law.

March 12, 2025



Prof. Gabby Sarusi
Director (*)

(*) Authorized by the Board of Directors to sign the financial statements in the absence of permanent COB.

GOVERNMENT COMPANIES REGULATIONS
(ADDITIONAL REPORT REGARDING ACTIONS TAKEN AND STATEMENTS MADE TO SECURE THE ACCURACY OF THE FINANCIAL STATEMENTS AND DIRECTORS' REPORT), 2005

I, Boaz Levy, certify that:

1. I have reviewed the periodic report, as defined in Chapter B to the Israel Securities Regulations (Periodic and Immediate Reports), 1970 of Israel Aerospace Industries Ltd. ("the Company") for 2024 ("the reports").

2. To the best of my knowledge and after reviewing the reports, they do not contain any untrue statement of a material fact or omit to state a material fact necessary not to make the statements made, in light of the circumstances under which such statements were made, misleading with respect to the period covered by the reports.

3. To the best of my knowledge and after reviewing the reports, the financial statements and other financial information included in the directors' report fairly present, in all material respects, the financial position, results of operations, changes in equity and cash flows of the Company as of and for the periods presented in the reports.

4. The Company's other certifying officers and I are responsible for establishing and maintaining disclosure controls and procedures in the Company as required in the reports. Accordingly, we have designed such controls and procedures, or had such controls and procedures established under our charge, designed to ensure that material information relating to the Company, including its subsidiaries, is made known to us by others in the Company and in the subsidiaries, particularly during the period in which the reports were prepared.

5. The Company's other certifying officers and I have disclosed to the Company's auditors and the Company's board of directors, based on our most recent evaluation:

    a. All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the Company's ability to record, process, summarize and report financial information;

    b. Any fraud, whether or not material, that involves management or other employees who have a significant role in the Company's internal control over financial reporting.

There is nothing in the aforesaid to derogate from my responsibility or the responsibility of anyone else, pursuant to any law.



March 12, 2025

Boaz Levy
President and CEO

GOVERNMENT COMPANIES REGULATIONS
(ADDITIONAL REPORT REGARDING ACTIONS TAKEN AND STATEMENTS MADE TO SECURE THE ACCURACY OF THE FINANCIAL STATEMENTS AND DIRECTORS' REPORT), 2005

I, Eran Anchikovsky, certify that:

1. I have reviewed the periodic report, as defined in Chapter B to the Israel Securities Regulations (Periodic and Immediate Reports), 1970 of Israel Aerospace Industries Ltd. ("the Company") for 2024 ("the reports").

2. To the best of my knowledge and after reviewing the reports, they do not contain any untrue statement of a material fact or omit to state a material fact necessary not to make the statements made, in light of the circumstances under which such statements were made, misleading with respect to the period covered by the reports.

3. To the best of my knowledge and after reviewing the reports, the financial statements and other financial information included in the directors' report fairly present, in all material respects, the financial position, results of operations, changes in equity and cash flows of the Company as of and for the periods presented in the reports.

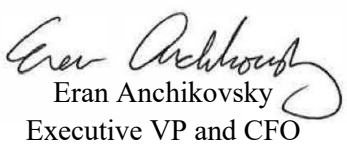
4. The Company's other certifying officers and I are responsible for establishing and maintaining disclosure controls and procedures in the Company as required in the reports. Accordingly, we have designed such controls and procedures, or had such controls and procedures established under our charge, designed to ensure that material information relating to the Company, including its subsidiaries, is made known to us by others in the Company and in the subsidiaries, particularly during the period in which the reports were prepared.

5. The Company's other certifying officers and I have disclosed to the Company's auditors and the Company's board of directors, based on our most recent evaluation:

    a. All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the Company's ability to record, process, summarize and report financial information;

    b. Any fraud, whether or not material, that involves management or other employees who have a significant role in the Company's internal control over financial reporting.

There is nothing in the aforesaid to derogate from my responsibility or the responsibility of anyone else, pursuant to any law.



March 12, 2025

Eran Anchikovsky
Executive VP and CFO

Auditors' Report to the Shareholders of Israel Aerospace Industries Ltd.
Regarding the Effectiveness of Internal Control over Financial Reporting
Pursuant to Article 3 to the Israeli Government Companies Regulations
(Additional Reports regarding the Effectiveness of Internal Control over Financial Reporting), 2007

We have audited the internal control over financial reporting of Israel Aerospace Industries Ltd. ("the Company") as of December 31, 2024, based on criteria established in the Internal Control-Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission ("the COSO criteria").

The Company's board of directors and management are responsible for maintaining effective internal control over financial reporting, and for their assessment of the effectiveness of internal control over financial reporting, included in accordance with the Israeli Government Companies Regulations (Additional Reports regarding the Effectiveness of Internal Control over Financial Reporting), 2007 in the reports of the board of directors and management regarding the effectiveness of internal control over financial reporting hereby attached.

Our responsibility is to express an opinion on the Company's internal control over financial reporting based on our audit.

We did not audit the effectiveness of internal control over financial reporting of ELTA Systems Ltd. and its subsidiaries (a wholly owned subsidiary of the Company, "the subsidiary") whose assets constitute approximately 21.71% of total consolidated assets as of December 31, 2024 and whose revenues constitute approximately 23.89% of total consolidated revenues for 2024. The internal control over financial reporting of the subsidiary was audited by other auditors, whose findings have been furnished to us, and our opinion, insofar as it relates to the internal control over financial reporting of the subsidiary, is based on the reports of the other auditors.

We conducted our audit in accordance with the Standards of the PCAOB in the United States regarding the audit of internal control over financial reporting. Those Standards require that we plan and perform the audit to obtain reasonable assurance about whether effective internal control over financial reporting was maintained in all material respects. Our audit included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists and testing and evaluating the design and operating effectiveness of the internal control based on the assessed risk. We believe that our audit and the reports of the other auditors provide a reasonable basis for our opinion.

A company's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with IFRS Accounting Standards, the provisions of the Israeli Securities Regulations (Annual Financial Statements), 2010 and the provisions of the Israeli Government Companies Law, 1975. A company's internal control over financial reporting consists of the policies and procedures which (1) address the management of records that accurately, adequately and reasonably reflect the transactions in the Company's assets and their disposal; (2) provide reasonable assurance that transactions are properly recorded in order to allow the preparation of the financial statements in conformity with IFRS Accounting Standards, the provisions of the Israeli Securities Regulations (Annual Financial Statements), 2010 and the provisions of the Israeli Government Companies Law, 1975, and that funds are only received and expensed by the Company's authorized personnel and subject to the approvals of State authorities as required by law; and (3) provide reasonable assurance of the timely prevention or disclosure of any unauthorized acquisition, use or disposal of Company assets that is liable to have a material adverse effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

In our opinion, based on our audit and the reports of the other auditors, the Company maintained, in all material respects, effective internal control over financial reporting as of December 31, 2024, based on the COSO criteria.

We have also audited, in accordance with generally accepted auditing standards in Israel, including those prescribed by the Auditor's Regulations (Auditor's Mode of Performance), 1973, the consolidated statements of financial position of the Company as of December 31, 2024 and 2023 and the consolidated statements of profit or loss, comprehensive income (loss), changes in equity and cash flows for each of the three years in the period ended December 31, 2024 and our report dated March 12, 2025 expressed an unqualified opinion thereon, based on our audits and the reports of other auditors.

Tel-Aviv, Israel
March 12, 2025

BDO Ziv Haft
Certified Public Accountants



AUDITORS' REPORT

To the Shareholders of

ISRAEL AEROSPACE INDUSTRIES LTD.

We have audited the accompanying consolidated statements of financial position of Israel Aerospace Industries Ltd. ("the Company") as of December 31, 2024 and 2023, and the related consolidated statements of profit or loss, comprehensive income (loss), changes in equity and cash flows for each of the three years in the period ended December 31, 2024. These financial statements are the responsibility of the Company's board of directors and management. Our responsibility is to express an opinion on these financial statements based on our audits.

We did not audit the financial statements of certain subsidiaries whose assets constitute approximately 23.08% and approximately 26.57% of total consolidated assets as of December 31, 2024 and 2023, respectively, and whose revenues constitute approximately 25.09%, approximately 23.75% and approximately 23.72% of total consolidated revenues for the years ended December 31, 2024, 2023 and 2022, respectively. Moreover, we did not audit the financial statements of companies accounted for at equity the investment in which amounted to approximately $ 131 million and approximately $ 111 million as of December 31, 2024 and 2023, respectively and the Company's share of their earnings amounted to approximately -, $ 6 million and approximately $ 5 million in the years ended December 31, 2024, 2023 and 2022, respectively. The financial statements of those companies were audited by other auditors, whose reports have been furnished to us, and our opinion, insofar as it relates to amounts included for those companies, is based on the reports of the other auditors.

We conducted our audits in accordance with generally accepted auditing standards in Israel, including those prescribed by the Auditors' Regulations (Auditor's Mode of Performance), 1973. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by the board of directors and management, as well as evaluating the overall financial statement presentation. We believe that our audits and the reports of other auditors provide a reasonable basis for our opinion.

In our opinion, based on our audits and the reports of other auditors, the financial statements referred to above present fairly, in all material respects, the financial position of the Company and its subsidiaries as of December 31, 2024 and 2023, and the results of their operations, changes in their equity and cash flows for each of the three years in the period ended December 31, 2024, in conformity with IFRS Accounting Standards and with the provisions of the Israeli Securities Regulations (Annual Financial Statements), 2010. Moreover, in our opinion, the financial statements referred to above present fairly, in all material respects, the disclosure provisions required by circulars of the Israel Government Companies Authority.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States), as adopted by the Institute of Certified Public Accountants in Israel, the effectiveness of the Company's internal control over financial reporting as of December 31, 2024, based on criteria established in Internal Control-Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission and our report dated March 12, 2025, expressed an unqualified opinion on the effectiveness of the Company's internal control over financial reporting.

Key Audit Matters:

The key audit matters described below are those matters that were communicated, or should have been communicated, to the Company's board of directors and that, in our professional judgment, were of most significance in the audit of the consolidated financial statements of the current period. These matters include, among others, any matter: (1) which relates, or may relate, to significant accounts or disclosures in the financial statements and (2) that involved our professional judgment that was challenging, subjective or especially complex. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon. The communication of these matters below does not change our opinion on the consolidated financial statements as a whole nor do we provide through such communication a separate opinion on these matters or on the accounts or disclosures to which they relate.

Description of the matter:

Revenue recognition

As discussed in Notes 2h(3), 3l, 7, 18 and 24 to the consolidated financial statements, the Company's operations rely on the performance of extensive contracts whose accounting treatment requires using estimates and evaluations regarding the performance of the contracts and assessing the underlying risks. The Company recognizes revenue from contracts with customers when the control of the goods or services is transferred to the customer. In 2024, the Company's revenues totaled approximately $ 6.1 billion. In respect of most of its contracts, the Company recognizes revenue over time in accordance with the provisions of IFRS 15, "Revenue from Contracts with Customers".

The revenue recognition process for each customer contract requires the Company to identify the performance obligation, determine the revenue recognition method and estimate the contract revenue and costs during each contract stage. When revenue is recognized over time, the Company uses the percentage of completion method according to which the Company measures the contract progress based on the ratio of costs incurred to date to total estimated costs of performing the contract (percentage of completion). The percentage of completion measures the total revenue and gross profit to be recognized in the relevant period and, if applicable, the loss allowance in respect of the contract. This process requires management to prepare estimates and make assumptions for the future, including forecasts of expected costs to performance of the contract which involve a degree of uncertainty. Any change in such estimates or evaluations is likely to have a material impact on the revenue and gross profit deriving from the contracts.

Principal estimates – as stated above, the percentage of completion method requires the Company to make significant evaluations and assumptions regarding the costs of performance of contracts with customers. At each contract inception, the Company determines the revenue recognition method, the expected contract performance period, the inherent contract risks and the expected costs to completion (costs of labor, materials, subcontractors and more). Throughout the contract period, the Company evaluates whether to update the provision for contract completion based on project progress, risk materialization and cost evaluation compared to the forecast and adjusts the provision as necessary.

We identified the revenue recognition process, estimates and assumptions used by management to measure revenue as a key audit matter. The audit of the revenue recognition process requires the auditor to exercise judgment, knowledge and experience in examining how management substantiated the adequacy of assumptions and estimates used in the process which results in determining the Company's revenues and gross profit every reporting period.

The primary procedures we performed to address this key audit matter included the following:

We performed the following primary procedures to address the key audit matter in our audit:

We tested the revenue recognition process by obtaining an understanding of the process and evaluating the planning, implementation and operating effectiveness of the relevant internal controls over the Company's revenue recognition process, including:

- Internal controls practiced by management to determine revenue recognition at a point in time or over time.
- Internal controls practiced by the relevant functions in the Company to evaluate expected costs to contract completion including a structured executive signoff process.

For a sample of contracts, we performed analytical and substantive procedures for testing the estimates and assumptions used in the revenue recognition process. Among others, these procedures included the following:

- Obtaining an understanding of contract prices and the underlying revenue recognition method.
- Examining changes in contract completion assessments and obtaining supporting evidence.
- Testing the existence of project losses and the need for loss provision.
- Performing various analytical procedures (such as profit margins, percentage of completion, costs) of results in previous contract periods or, if applicable, of results of other contracts in the same segment.
- Obtaining supporting documentation of contract cost performance.

Tel-Aviv, Israel
March 12, 2025

ZIV HAFT BDO
Certified Public Accountants

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	Note	December 31, 2024	December 31, 2023
		U.S. dollars in millions	
ASSETS			
CURRENT ASSETS:			
Cash and cash equivalents	**4**	**541**	865
Short-term financial assets	**5**	**3,391**	680
Trade receivables	**6**	**1,271**	1,287
Contract assets, net	**7**	**1,364**	1,420
Other accounts receivable	**8**	**721**	593
Inventories	**9**	**1,032**	965
Total current assets		**8,320**	5,810
NON-CURRENT ASSETS:			
Long-term receivables	**10**	**75**	32
Investments in associates and joint ventures	**11**	**131**	111
Property, plant and equipment	**12**	**1,502**	1,449
Intangible assets	**13**	**368**	325
Total non-current assets		**2,076**	1,917
Total assets		**10,396**	7,727

The accompanying notes are an integral part of the consolidated financial statements.

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	Note	December 31, 2024	December 31, 2023
		U.S. dollars in millions	
LIABILITIES AND EQUITY			
CURRENT LIABILITIES:			
Loans from banks and current maturities in respect of debentures	**14**	**126**	158
Short-term financial liabilities		**6**	32
Trade payables	**15**	**1,236**	1,108
Other accounts payable	**16**	**548**	546
Provisions	**17**	**374**	376
Dividend payable	**23**	**438**	284
Contract liabilities, net	**18**	**5,365**	3,434
Total current liabilities		**8,093**	5,938
NON-CURRENT LIABILITIES:			
Other long-term liabilities		**171**	43
Employee benefits	**20**	**262**	251
Total non-current liabilities		**433**	294
EQUITY:			
Equity attributable to equity holders of the parent	**23**	**1,813**	1,446
Non-controlling interests		**57**	49
Total equity		**1,870**	1,495
Total liabilities and equity		**10,396**	7,727

The accompanying notes are an integral part of the consolidated financial statements.

March 12, 2025			
Date of approval of the financial statements	Prof. Gabby Sarusi Director (*)	Boaz Levy President and CEO	Eran Anchikovsky Executive VP and CFO

(*) Authorized by the Board of Directors to sign the financial statements in the absence of permanent COB.

CONSOLIDATED STATEMENTS OF PROFIT OR LOSS

	Note	Year ended December 31, 2024	2023	2022
		U.S. dollars in millions		
Sales	24	**6,112**	5,327	4,973
Cost of sales	25	**4,971**	4,360	4,149
Gross profit		**1,141**	967	824
Research and development expenses, net	26	**333**	275	215
Selling and marketing expenses	27	**127**	118	107
General and administrative expenses	28	**210**	199	192
Other income, net	29	**(26)**	(3)	(5)
Expenses (income) in respect of early retirement of employees	20	**(1)**	2	(1)
		643	591	508
Operating income		**498**	376	316
Finance income	30	**182**	82	34
Finance expenses	30	**(53)**	(53)	(65)
Company's share of earnings of associates and joint ventures, net	11	**-**	6	5
Income before taxes on income		**627**	411	290
Taxes on income	31	**(134)**	(93)	(77)
Net income		**493**	318	213
Net income attributable to:				
Equity holders of the parent		**484**	309	208
Non-controlling interests		**9**	9	5
Total		**493**	318	213

The accompanying notes are an integral part of the consolidated financial statements.

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME (LOSS)

	Note	Year ended December 31, 2024	2023	2022
		U.S. dollars in millions		
Net income		**493**	318	213
Other comprehensive income (loss) net of taxes:				
Items of other comprehensive income (loss) that will not be subsequently reclassified to profit or loss:				
Remeasurement of defined benefit plans	**32**	**3**	5	43
Total items of other comprehensive income (loss) that will not be subsequently reclassified to profit or loss		**3**	5	43
Items of other comprehensive income (loss) that may be subsequently reclassified to profit or loss:				
Gain (loss) from cash flow hedge	**32**	**37**	41	(63)
Foreign currency translation adjustments of foreign operation	**32**	**(1)**	-	(14)
Total items of other comprehensive income (loss) that may be subsequently reclassified to profit or loss		**36**	41	(77)
Total comprehensive income		**532**	364	179
Total comprehensive income attributable to:				
Equity holders of the parent		**523**	356	180
Non-controlling interests		**9**	8	(1)
Total comprehensive income		**532**	364	179

The accompanying notes are an integral part of the consolidated financial statements.

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

	Attributable to equity holders of the parent									
	Outstanding share capital	Capital reserve from cash flow hedge	Capital reserve from cost of CBS hedge	Capital reserve from foreign currency translation adjustments	Capital reserve from re-measurement of defined benefit plans	Capital reserve from transactions with non-controlling interests	Retained earnings	Total	Non-controlling interests	Total equity
	U.S. dollars in millions									
Balance as of December 31, 2021	861	16	1	-	(24)	4	320	1,178	43	1,221
Changes in the year ended December 31, 2022:										
Net income for the year	-	-	-	-	-	-	208	208	5	213
Other comprehensive income (loss)	-	(61)	(2)	(8)	43	-	-	(28)	(6)	(34)
Total comprehensive income (loss) for the year	-	(61)	(2)	(8)	43	-	208	180	(1)	179
Dividend declared	-	-	-	-	-	-	(164)	(164)	-	(164)
Dividend to non-controlling interests in subsidiaries	-	-	-	-	-	-	-	-	(2)	(2)
Balance as of December 31, 2022	861	(45)	(1)	(8)	19	4	364	1,194	40	1,234
Changes in the year ended December 31, 2023:										
Net income for the year	-	-	-	-	-	-	309	309	9	318
Other comprehensive income (loss)	-	39	2	1	5	-	-	47	(1)	46
Total comprehensive income (loss) for the year	-	39	2	1	5	-	309	356	8	364
Dividend declared	-	-	-	-	-	-	(104)	(104)	-	(104)
Dividend to non-controlling interests in subsidiaries	-	-	-	-	-	-	-	-	(2)	(2)
Non-controlling interests from business combination	-	-	-	-	-	-	-	-	3	3
Balance as of December 31, 2023	**861**	**(6)**	**1**	**(7)**	**24**	**4**	**569**	**1,446**	**49**	**1,495**
Changes in the year ended December 31, 2024:										
Net income for the year	**-**	**-**	**-**	**-**	**-**	**-**	**484**	**484**	**9**	**493**
Other comprehensive income (loss)	**-**	**37**	**-**	**(1)**	**3**	**-**	**-**	**39**	**-**	**39**
Total comprehensive income (loss) for the year	**-**	**37**	**-**	**(1)**	**3**	**-**	**484**	**523**	**9**	**532**
Dividend declared	**-**	**-**	**-**	**-**	**-**	**-**	**(155)**	**(155)**	**-**	**(155)**
Dividend to non-controlling interests in subsidiaries	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(2)**	**(2)**
Dilution of non-controlling interests in subsidiaries	**-**	**-**	**-**	**-**	**-**	**(1)**	**-**	**(1)**	**1**	**-**
Balance as of December 31, 2024	**861**	**31**	**1**	**(8)**	**27**	**3**	**898**	**1,813**	**57**	**1,870**

The accompanying notes are an integral part of the consolidated financial statements.

CONSOLIDATED STATEMENTS OF CASH FLOWS

	Year ended December 31,		
	2024	2023	2022
	U.S. dollars in millions		
Cash flows from operating activities:			
Net income	**493**	318	213
Adjustments for:			
Depreciation and amortization (including impairment)	**294**	288	244
Finance expense (income), net	**(116)**	(37)	45
Taxes on income in profit or loss	**134**	93	77
Company's share of earnings of associates and joint ventures, net	**-**	(6)	(5)
Dividend received from associate	**6**	14	8
Gain from change in holding rate in associate	**(1)**	-	(11)
Increase (decrease) in respect of employee benefits	**15**	(7)	(63)
Changes in value of securities measured at fair value through profit or loss, net	**(4)**	2	36
Change in fair value of financial derivatives, net	**(1)**	1	(1)
Loss (gain) from sale of property, plant and equipment	**7**	(6)	-
Impairment of investment in associate	**6**	-	-
Gain from loss of control in a subsidiary that is a business	**(26)**	-	-
	314	342	330
Changes in asset and liability items:			
Decrease (increase) in trade receivables	**16**	65	(381)
Decrease (increase) in other accounts receivable	**(137)**	41	(30)
Decrease (increase) in contract assets, net	**56**	(143)	(5)
Increase in inventories	**(73)**	(120)	(40)
Increase (decrease) in trade payables	**21**	(9)	(2)
Increase (decrease) in provisions	**19**	(3)	33
Increase in contract liabilities, net	**1,931**	434	801
Increase (decrease) in other accounts payable	**4**	3	(42)
	1,837	268	334
Interest paid	**(3)**	(5)	(9)
Interest received	**130**	40	13
Taxes on income paid, net	**(54)**	(74)	(84)
	73	(39)	(80)
Net cash provided by operating activities	**2,717**	889	797

The accompanying notes are an integral part of the consolidated financial statements.

CONSOLIDATED STATEMENTS OF CASH FLOWS

	Year ended December 31,		
	2024	2023	2022
	U.S. dollars in millions		
Net cash provided by operating activities (brought forward)	**2,717**	889	797
Cash flows from investing activities:			
Investment in property, plant and equipment	**(232)**	(192)	(198)
Proceeds from sale and expropriation of property, plant and equipment	**21**	8	-
Investment in intangible assets	**(60)**	(78)	(97)
Proceeds from sale of (investment in) marketable securities, net	**(251)**	44	32
Short-term deposits, net	**(2,446)**	(205)	(330)
Proceeds from sale of securities at amortized cost	**-**	-	55
Lease payments made on or before lease inception date	**-**	(79)	-
Investments in and loans to associates, net	**3**	(20)	-
Payments for acquisition of subsidiary on or after initial consolidation date	**(6)**	(52)	-
Net cash used in investing activities	**(2,971)**	(574)	(538)
Cash flows from financing activities:			
Short-term loans from banks, net	**(50)**	-	(190)
Sale of swap in respect of debenture principal	**-**	(4)	-
Repayment of debentures	**-**	-	(45)
Repayment of lease liability	**(34)**	(20)	(26)
Short-term credit, net	**18**	24	19
Dividend paid to non-controlling interests	**(2)**	(2)	(2)
Net cash used in financing activities	**(68)**	(2)	(244)
Increase (decrease) in cash and cash equivalents	**(322)**	313	15
Cash and cash equivalents at the beginning of the year	**865**	549	581
Translation differences from balances of cash and cash equivalents	**(2)**	3	(47)
Cash and cash equivalents at the end of the year	**541**	865	549

The accompanying notes are an integral part of the consolidated financial statements.

NOTE 1:- GENERAL

a. Israel Aerospace Industries Ltd. ("the Company") was founded in 1966 and is a "wholly-owned government company", as this term is defined in the Israeli Government Companies Law, 1975 ("the Government Companies Law"). The Company's debentures were issued and listed for trade on the Tel-Aviv Stock Exchange ("the TASE") effective from May 2007 whereas the Company's shares are not listed for trade on the TASE. Accordingly, the Company is a government company that is subject to the provisions of the Israel Securities Law, 1968 as a reporting entity.

The Company operates in four main operating segments through the following groups: the Missiles and Space Systems Group, the Military Aircraft Group, the Military Electronics Group (through ELTA Systems Ltd., a wholly owned subsidiary of the Company) and the Aviation Group.

b. As a government company, the Company is subject to the Israeli Government Companies Authority's profit allocation policy. The Government Companies Law states that the Board's decisions regarding the Company's profit allocation requires the approval of the Government Companies Authority. If the Government Companies Authority disagrees with the Board's decision, the Company (as long as it is not a company under privatization process) will act in accordance with the resolution of the Government Companies Authority ("the GCA"), as approved by the Israeli Government. According to the GCA's current policy (which is liable to change from time to time), 50% of the annual current net income, before any bonuses are paid to employees, are distributed as a dividend.

In the context of the Company's engagement with several banks and financial institutions and its engagement in a deed of trust in respect of debentures (series D), the Company has undertaken to meet certain financial covenants which are liable to affect its ability to distribute a dividend. See more details in Notes 21b(2) and 23c below.

c. Issuance or sale of the Company's shares to the public:

On November 19, 2020, the Ministerial Privatization Committee ("the Committee") approved the privatization of the Company through the sale of its minority shares ("the privatization decision"). Among others, the privatization decision consists of the following: (1) sale of up to 49% of the Company's share capital (on a fully diluted basis) through one or more public offerings on the TASE according to a prospectus which will include an offer for sale by the State and/or an offer for sale in combination with a capital raising in the Company ("the offering" or "the offerings", as applicable), whereby any offering of more than 35% of the Company's share capital (on a fully diluted basis) is subject to the Committee's approval in a different decision; (2) the offering(s) will be based on the scope, distribution method and dates as prescribed by the GCA and the Ministry of Defense.

NOTE 1:- GENERAL (Cont.)

c. Issuance or sale of the Company's shares to the public (Cont.):

The rates underlying the capital raising in the Company and the offer for sale regarding each offering will be determined by the GCA subject to the advance approval of the Ministry of Defense and Ministry of Finance; (3) the offering(s) will not be executed without reinforcing and protecting the State's vital interests in the Company and in ELTA; (4) subject to its provisions, the privatization decision also represents the privatization of ELTA; (5) according to Article 59B(h) to the Government Companies Law, the method of the Company's privatization as stipulated in the privatization decision requires the approval of the Israeli Parliament's Finance Committee. In keeping with the aforesaid, the Company and ELTA now constitute "companies under privatization", as this phrase is defined in the Government Companies Law.

It should be clarified that as of the date of the financial statements, there is no certainty that the offering of the Company's shares to the public will be completed, whether in the format described in the privatization decision or in a different format, and there is no certainty regarding the date of the offering of shares to the public insofar as the planned steps in respect of the offering are actually performed.

d. Interest curve fluctuations and inflation expectations:

In recent years, inflation rates have been on the rise in Israel and worldwide. In response to global markups, central banks around the world decided to raise their benchmark interest rates in an attempt to stop prices from rising further. Fluctuations in market interest and inflation rates are likely to have a major impact on the Company's employee benefit liabilities, see more information in Note 20e(4) below.

e. The Israel-Hamas War (Swords of Iron War):

As of the date of publication of these consolidated financial statements, Israel is at war on several fronts as a result of the state of war declared in Israel on October 7, 2023. The Company is presently not aware of any impairment of its assets due to damage caused to infrastructures, production lines and raw materials and/or due to reduced demand for the Company's products.

In general, since the Company's contracts are substantially all long term and the revenues from long-term projects are recognized over time, to date, the implications of the current state of war on most of the Company's business segments have not been material. Nevertheless, with the current uncertainty involving the duration and extent of the war, it is impossible to assess its future effects on the Company's business contracts with customers and/or suppliers in the long run.

NOTE 2:- BASIS OF PREPARATION OF THE FINANCIAL STATEMENTS

a. Adoption of IFRS Accounting Standards:

The financial statements have been prepared in conformity with the provisions of IFRS Accounting Standards.

b. Principles of preparation of the financial statements:

1. The annual financial statements include the additional disclosure required by Israeli Securities Regulations (Annual Financial Statements), 2010.

2. The financial statements comply with the guidelines of the Government Companies Authority in accordance with accounting and finance circular - financial statements 2020-5-1.

3. The accounting policies disclosed herein have been consistently applied in all reporting periods presented in these financial statements.

4. The financial statements are presented in U.S. dollars with all the values rounded up to the nearest million, unless stated otherwise.

5. The financial statements have been prepared using the cost principle, excluding financial assets and liabilities which have been presented at fair value.

6. The financial statements were approved for publication by the Company's Board on March 12, 2025.

7. As of the date of approval of these financial statements, a Chair has yet to be appointed to the Company's Board of Directors. Accordingly, the Board authorized Prof. Gabby Sarusi, a director, to sign the financial statements.

c. The functional currency and presentation currency:

The presentation currency of the financial statements is the U.S. dollar ("dollar"), which is also the Company's functional currency (see also paragraph e below).

d. Foreign currency transactions:

Transactions that are not conducted in the functional currency are accounted for as follows:

1. A transaction denominated in foreign currency is recorded upon initial recognition in the functional currency using the immediate exchange rate between the functional currency and the foreign currency on the transaction date.

2. At the end of each reporting period, monetary items denominated in foreign currency are translated at the immediate exchange rate at the end of the reporting period.

NOTE 2:- BASIS OF PREPARATION OF THE FINANCIAL STATEMENTS (Cont.)

d. Foreign currency transactions (Cont.):

3. At the end of each reporting period, non-monetary items denominated in foreign currency and measured at historical cost are translated at the exchange rate on the transaction date.

4. Exchange rate differences arising from the settlement of monetary items or from the translation of monetary items at different exchange rates than those used in the translation upon initial recognition during the period or than those used in the translation of previous financial statements were recognized in profit or loss in the period in which they incur, excluding exchange rate differences which are carried to capital reserve from hedges that are recognized for accounting purposes.

e. Foreign operation:

1. The functional currency of each Group member is determined according to the functional currency in the economic environment in which it operates. When an investee's functional currency differs from the Company's functional currency, that investee represents a foreign operation whose financial statements are translated into the Company's functional currency so that they can be included in the consolidated financial statements as follows.

   a) Assets and liabilities of the foreign operation (including comparative figures), including goodwill and fair value adjustments created in the acquisition, are translated at the closing rate at each reporting period end.

   b) Income and expenses of the foreign operation are translated at average exchange rates in the month in which the transactions were conducted.

   c) All resulting exchange rate differences are recognized as other comprehensive income and presented in equity (in "foreign currency translation adjustments").

2. Disposal of foreign operation:

   Upon the disposal of a foreign operation, other comprehensive income in respect of exchange rate differences attributable to the foreign operation is recognized in profit or loss in the same period as the gain or loss from the disposal of the foreign operation is recognized.

f. Linkage:

Assets and liabilities that are linked to the changes in the Israeli Consumer Price Index ("CPI") are included at the relevant index for each asset or liability in each reporting period. Linkage differences arising from the above adjustment are carried to profit or loss.

NOTE 2:- BASIS OF PREPARATION OF THE FINANCIAL STATEMENTS (Cont.)

g. Details of foreign currency exchange rates and the CPI:

Below are data of the exchange rates of the U.S. dollar, the Euro and the Israeli CPI and the rates of changes therein in the reporting periods:

	December 31,		
	2024	2023	2022
Israeli CPI (in points)	108.4	105	102
U.S.$ (in NIS per U.S.$ 1)	3.65	3.63	3.52
Euro (in NIS per € 1)	3.8	4.01	3.75

	Year ended December 31,		
	2024	2023	2022
		%	
Change in the reporting periods:			
Israeli CPI	3.24	2.96	5.26
U.S.$	0.55	3.07	13.15
Euro	(5.36)	6.89	6.62

h. Factors of uncertainty regarding material estimates:

The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and use assumptions regarding forward looking events. The Company's management monitors these estimates on an ongoing basis while relying on past experience and other factors such as reasonable assumptions of circumstances underlying future events. Actual results could differ from management's estimates. The estimates and assumptions in respect of which there is a significant risk of making material adjustments to the carrying amount of assets and liabilities in the next reporting period are specified below:

1. Contingent liabilities - in assessing the chances of legal claims filed against the Company and its investees, the Company and the investees relied on the opinions of their internal and external legal counsel. These estimates are based on the legal counsel's best professional judgment, taking into account the stage of proceedings and legal precedents in respect of the different issues. Since the outcome of the claims will be determined in courts, the results could differ from these estimates.

NOTE 2:- BASIS OF PREPARATION OF THE FINANCIAL STATEMENTS (Cont.)

h. Factors of uncertainty regarding material estimates (Cont.):

2. Employee benefit liabilities – the costs, assets and liabilities in respect of defined benefit plans are determined using the projected unit credit method which takes into account actuarial assumptions such as discount rate, rate of future salary increases etc. These assumptions may be affected both by macroeconomic factors and by factors that are specific to the Company. Any change in these variables is likely to cause a significant change in the value of the liabilities and actuarial gains (losses) recognized by the Company. The actuarial calculations are made by an outside actuary and based on various assumptions as detailed in Note 20 below.

3. Contracts with customers - the Company's operations are based on a large number of contracts whose accounting treatment requires use of contract performance estimates and evaluations and risk assessment. The forecasts and estimates include assessing expected costs to contract completion, including labor, materials, subcontractors etc. Among others, these costs affect the determination of the percentage of completion from which total revenues and gross profit for the period are derived, and, if applicable, the recording of an allowance for expected losses in respect of the contract. Any change in these evaluations is likely to lead to a material change in revenues and gross profit deriving from these contracts. In contracts with variable consideration, the Company estimates the variable consideration amount and recognizes revenue in the transaction price only to the extent that it is highly probable that a significant reversal in the amount of revenue recognized will not occur.

4. Inventories - the net realizable value of inventories is reviewed at the end of each reporting period. Factors that might affect selling prices consist, among others, of existing market demands for the Company's inventories, competition and technological effects.

5. Useful life of property, plant and equipment and intangible assets with a definite useful life - the useful life is based on management's evaluations for the period in which the assets are expected to yield revenues which are tested every period for examining their adequacy. Changes in management's evaluations may lead to material changes in the carrying amount of these assets and in the depreciation expenses carried to profit or loss.

6. Fair value of financial instruments - the fair value of financial instruments that are not quoted in an active market is determined using model-based valuation techniques. These techniques are significantly affected by the assumptions that underlie the calculation such as discount interest rates and estimated future cash flows, see also details in Note 22 below.

NOTE 2:- BASIS OF PREPARATION OF THE FINANCIAL STATEMENTS (Cont.)

h. Factors of uncertainty regarding material estimates (Cont.):

7. Taxes on income - the Group is subject to different tax laws and tax authority positions in several jurisdictions. Extensive discretion is required when determining the current and deferred taxes of each Group member. The Group recognizes liabilities in respect of tax results based on management's estimates, which rely, among others, on professional counsel, regarding the timing and amount of the tax liability arising from its transactions. The tax results of its transactions could differ from management's estimates. The Company recognizes a deferred tax asset in respect of tax losses (if any) based on expected future taxable income against which carryforward losses can be offset.

i. Fair value:

The Company measures fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

When the price of an identifiable asset or liability is not observable (has no quoted market price in an active market), the Company measures fair value using a different technique that is more appropriate for the relevant circumstances and which relies on sufficient obtainable data for fair value measurement through the optimal use of relevant observable data and the minimized use of non-observable data. Fair value measurement is based on the assumption that the transaction will take place in the asset's or the liability's principal market, or in the absence of a principal market, in the most advantageous market for the asset or liability accessed by the Company.

All assets and liabilities measured at fair value or for which fair value is disclosed are categorized into levels within the fair value hierarchy based on the lowest level input that is significant to the entire fair value measurement:

Level 1 - quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2 - inputs other than quoted prices included within Level 1 that are observable either directly or indirectly.

Level 3 - inputs that are not based on observable market data (valuation techniques which use inputs that are not based on observable market data).

NOTE 3:- ACCOUNTING POLICIES

a. Operating cycle:

The Company operates in diverse areas of activity where the ordinary operating cycle mostly exceeds one year, particularly with respect to work according to construction contracts and orders whose performance spans several years. As a result, the Company estimates that its operating cycle is three years. Accordingly, current assets and current liabilities include items that are held for disposal within the operating cycle as above.

b. Investments in subsidiaries, associates and joint ventures:

1. Control and consolidated financial statements:

When the Company is exposed or holds rights to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee, then control is exercised by the Company over that investee and the investee is classified as a subsidiary. The Company reassesses its control over a subsidiary in the occurrence of changes in facts and circumstances.

The consolidated financial statements present the Group's financial statements as a single economic entity effective from the date of obtaining control until the date that such control ceases. Accordingly, significant intragroup balances and transactions and unrealized gains resulting from intragroup transactions are eliminated in full in the consolidated financial statements.

The financial statements of subsidiaries are prepared using uniform accounting policies as those of the Company with respect to similar transactions and events under similar circumstances. Moreover, the financial statements of the Company and of the subsidiaries are prepared as of the same dates and periods.

2. Non-controlling interests:

Non-controlling interests represent the equity in subsidiaries not attributable, directly or indirectly, to the Company.

Changes in interests after control is obtained that do not involve loss of control are accounted for as equity transactions. The difference between the fair value of the consideration paid or received and the amount of adjustment of non-controlling interests is carried directly to equity. In the event of changes in such interests, the Company reattributes amounts in respect of balance of other comprehensive income and non-controlling interests.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

b. Investments in subsidiaries, associates and joint ventures (Cont.):

3. Loss of control:

When the Company loses control over a subsidiary, it derecognizes the subsidiary's assets (including any goodwill allocated to the subsidiary) and liabilities and the non-controlling interests in the subsidiary (including other comprehensive income attributed thereto) according to their carrying amount as of the date of loss of control. In addition, the Company classified to profit or loss or directly carries to retained earnings any amounts recognized in the past in other comprehensive income relating to said subsidiary on the same basis as would have been required had the Company itself directly disposed of the related assets or liabilities.

The proceeds received and any remaining investment in the subsidiary are recognized at fair value on the date of loss of control. Any difference from the disposal is recognized as gain or loss in profit or loss.

4. Business combinations:

When the Group obtains control over one or more businesses, the resulting business combination is accounted for using the acquisition method. According to this method, the Company identifies the buyer, sets the acquisition date and recognizes the identifiable assets acquired and liabilities assumed at fair value. The Company measures the consideration delivered based on the fair value of the assets delivered, the liabilities assumed and the equity instruments issued. When the consideration consists of contingent consideration arrangements, the Company measures the contingent consideration on the purchase date at fair value and in subsequent periods, the changes in fair value are carried to profit or loss.

The Company recognizes goodwill on the acquisition date as the excess of the acquisition consideration and the amount of non-controlling interests over the net identifiable assets acquired and liabilities assumed. In subsequent periods, goodwill is measured at cost less accumulated impairment losses.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

b. Investments in subsidiaries, associates and joint ventures (Cont.):

5. Joint arrangements:

Joint arrangements are arrangements in which the Company has joint control. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the unanimous consent of the parties sharing control. Joint arrangements are categorized as follows:

a) Joint ventures:

In joint ventures the parties that have joint control of the arrangement have rights to the net assets of the arrangement. Joint ventures are accounted for at equity.

b) Joint operations:

In joint operations the parties that have joint control of the arrangement have rights to the assets and obligations for the liabilities relating to the arrangement. The Company recognizes in relation to its interest its share of the assets, liabilities, revenues and expenses of the joint operation.

6. Investments in associates or joint ventures accounted for at equity:

Where the Company has the power to participate in but not control (or jointly control) the financial and operating policy decisions of another entity, the Company has significant influence over the entity and the entity is classified as an associate. The Company's investments in associates and joint ventures are accounted for using the equity method, unless when the investment is classified as held for sale.

The financial statements of the associates and joint ventures are prepared using consistent accounting policies with those used by the Company regarding similar transactions and events under similar circumstances.

Under the equity method, the investment in the associate or in the joint venture is presented at cost with the addition of post-acquisition changes in the Company's share of net assets, including other comprehensive income of the associate or the joint venture. Profits and losses resulting from transactions between the Group and the associate or the joint venture are recognized in the Company's financial statements only to the extent of the unrelated investors' share of the associate or joint venture.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

b. Investments in subsidiaries, associates and joint ventures (Cont.):

6. Investments in associates or joint ventures accounted for at equity (Cont.):

Goodwill attributable to an associate or a joint venture is presented as part of the investment in the associate or the joint venture, measured at cost and not systematically amortized. Goodwill is evaluated for impairment as part of the investment in the associate or in the joint venture as a whole. The Company performs a test of impairment of the net investment in an associate or a joint venture when there is objective evidence of impairment of the investment. The impairment loss is allocated to the investment as a whole.

An increase in the holding rate in an associate or joint venture is accounted for using the acquisition method only in respect of the change in holding rate. A decrease in the holding rate in an associate is accounted for as derecognition of the relative share of the investment while recording a gain or loss. The Company also reclassifies the relative amount recognized in other comprehensive income based on the accounting treatment that would have been required had the associate disposed of the related assets or liabilities itself.

On the date of transfer of the operation that represents a business to an associate, the Company recognizes the entire gain from the transfer of the operation.

On the date of loss of significant influence or joint control, the Group measures any remaining investment in the associate or the joint venture at fair value and recognizes in profit or loss the difference between the fair value of any remaining investment plus any proceeds from the sale of the investment in the associate or the joint venture and the carrying amount of the investment on that date.

c. Cash equivalents:

Cash equivalents are considered as highly liquid short-term investments with an original maturity of three months or less from the date of investment which are redeemable into cash on demand and are exposed to immaterial risk of changes in value.

Bank overdrafts are not included as a component of cash and cash equivalents for the purpose of presentation of the statement of cash flows.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

d. Financial instruments:

1. Financial assets:

A financial asset is recognized when the Company becomes a party to the instrument's contractual provisions. Financial assets are classified into one of the following measurement categories based on the entity's business model for managing financial assets and based on the financial asset's contractual cash flows:

a) Debt instruments at amortized cost:

Debt instruments held based on a business model whose aim is to hold the debt instruments to collect the contractual cash flows and whose contractual terms ensure entitlement to solely payments of principal and interest (SPPI) on specific dates are initially measured at fair value with the addition of directly attributable transaction costs, excluding trade receivables which are initially measured at their transaction price. After initial recognition, these assets are measured at amortized cost. Short-term borrowings (such as customer credit and other receivables) are presented according to their terms, usually at nominal value.

b) Financial assets at fair value through profit or loss:

These assets are initially measured at fair value with changes in fair value after initial recognition carried to profit or loss. Directly attributable transaction costs are recognized in profit or loss when incurred.

The Company has provided a loan to an associate whose terms do not meet the SPPI criteria of the financial instrument and therefore measures the loan at fair value through profit or loss.

Reclassification of financial assets from one category to another after the initial recognition date is not allowed, unless the Company has changed its business model for managing financial assets.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

d. Financial instruments (Cont.):

2. Financial liabilities:

A financial liability is recognized when the Company becomes a party to the instrument's contractual provisions. A financial liability is initially recognized at fair value less transaction costs that can be directly attributable to assuming or issuing the financial liability excluding financial liabilities which are measured at fair value through profit or loss on the date of initial recognition. Financial liabilities are classified into one of the following categories:

a) Financial liabilities at fair value through profit or loss:

Financial liabilities at fair value through profit or loss consist of financial derivatives that are not used as accounting hedges - this category of financial liabilities is measured at fair value and the changes in fair value are carried to profit or loss. The transaction costs attributable to these liabilities are recognized in profit or loss as incurred.

b) Financial liabilities at amortized cost:

Financial liabilities at amortized cost are initially measured at fair value less directly attributable transaction costs. After initial recognition, these liabilities are measured using the effective interest method. Short-term borrowings (such as supplier credit and other payables) are presented according to their terms, usually at nominal value.

3. Impairment and reversal of impairment of financial assets:

The Company recognizes an allowance for expected credit losses (ECLs) in respect of debt instruments at amortized cost and contract assets. The Company measures the allowance for ECLs at the amount that is equivalent to lifetime ECLs, other than debt instruments that are determined to have low credit risk which has not significantly increased since the initial recognition date. The ECLs in respect of debt instruments, if any, are measured for 12-month default events. When assessing whether the credit risk of a financial asset has significantly increased since the initial recognition date and when assessing ECLs, the Group takes into account reasonable and supportable information that is available without undue cost or effort. The gross carrying amount of a financial assets is fully or partially reduced when there are no reasonable expectations of recovering the financial asset.

4. Derivatives:

Derivatives are measured at fair value through profit or loss unless they are designated as cash flow hedges for accounting purposes.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

d. Financial instruments (Cont.):

5. Offsetting financial instruments:

Financial assets and financial liabilities are offset and the net amount is presented in the statement of financial position if there is a legally enforceable right to set off the recognized amounts and there is an intention either to settle on a net basis or to realize the asset and settle the liability simultaneously.

6. Derecognition of financial instruments:

a) Financial assets:

A financial asset is derecognized from the statement of financial position when the contractual rights to the cash flows from the financial asset at the end of the reporting period expire or the Company has transferred the financial assets either by transferring its contractual rights to receive cash flows from the financial asset or by assuming a contractual obligation to pay the cash flows it receives from the financial asset to a third party under certain conditions.

b) Financial liabilities:

A financial liability is derecognized from the statement of financial position when it is discharged or cancelled or expires. When an existing financial liability is exchanged with another liability from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is accounted for as an extinguishment of the original liability from the statement of financial position and the recognition of a new liability at fair value. The difference between the carrying amount of the exchanged liability and the consideration paid or the fair value of the new recognized liability is carried to profit or loss.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

d. Financial instruments (Cont.):

7. Hedge accounting:

The Company designates certain financial instruments, generally derivatives, as cash flow hedges. On the date of creating the hedge, the Company documents the hedge relations and the objective of the Company's strategy and risk management when creating the hedge. The documentation consists of identifying the hedging instrument and hedged item, the nature of the hedged risk and the method used by the Company to examine whether the hedge relations meet the hedge effectiveness requirements. The Company examines the effectiveness of the hedging instrument when signing the hedge transaction and on an ongoing basis.

When an instrument is designated as a cash flow hedging instrument, the effective portion of the change in the instrument is recognized in other comprehensive income and retained in equity while the ineffective portion is recognized in profit or loss. Amounts recognized as other comprehensive income are reclassified to profit or loss in periods when the hedged item affects profit or loss, other than a loss which is not expected to be recovered in a future period which is immediately classified in profit or loss as a reclassification adjustment.

The Company discontinues applying the hedge accounting principles when the hedging instrument expires or is sold, terminated or exercised, or if its designation as a hedge is revoked.

In option transactions, the Company designates as a cash flow hedging instrument only the change in the intrinsic fair value of the option whereas the element attributed to the time value is not included in the hedge relations and is treated as the cost of the hedge while carrying the change to the reserve from cost of the hedge.

In forward transactions, the Company designates the entire changes in fair value as a hedging instrument.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

e. Assets and liabilities arising from contracts with customers:

1. Trade receivables:

   The Company accounts for an unconditional right to receive consideration as receivables from contracts (trade receivables). A right to receive consideration is unconditional if only the passage of time is required before payment of that consideration is due, even when the amount may be subject to refund in the future. The Company accounts for trade receivables as financial assets at amortized cost. Trade receivables are presented separately from contract assets and cannot be offset against contract liabilities.

2. Contract assets:

   The Company accounts for a right to consideration in exchange for goods or services that have been transferred to a customer as a contract asset when the right is conditional on a factor other than the passage of time. The Company accounts for the impairment of a contract asset similarly to a financial asset at amortized cost.

3. Contract liabilities:

   The Company accounts for an obligation to transfer goods or services to a customer for which the Company has received consideration (or an amount of consideration is due) from the customer as a contract liability.

4. Incremental costs of obtaining a contract:

   The Company recognizes an asset as incremental costs incurred in obtaining a contract with a customer, unless the Company does not expect to recover these costs and provided that these costs would not have incurred had the contract not been obtained. An asset recognized as above is amortized on a systematic basis which is consistent with the transfer of control of the goods or services to which the asset addresses to the customer. The Company recognizes an impairment loss if the carrying amount of the asset exceeds the balance of the consideration which the Company expects to receive for the goods or services which the asset addresses less the costs directly attributable to the supply of these goods or the provision of these services which have not been recognized as expenses.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

f. Inventories:

General inventory of raw materials, parts, products and items that is not allocated to a project in progress is estimated at the lower of cost or net realizable value . Inventory in process consists of work in progress and is presented at cost but not in excess of net realizable value. Cost includes direct costs of materials, labor and indirect manufacturing expenses. Inventories and inventory of WIP are presented net of provisions for impairment.

g. Property, plant and equipment:

1. Items of property, plant and equipment are presented at cost including direct acquisition costs, less accumulated depreciation, less accumulated impairment losses and less any related investment grants and excluding day-to-day servicing expenses. The Company recognizes the cost of certain spare parts of property, plant and equipment as part of the carrying amount of property, plant and equipment when future economic benefits are expected to be received from the item.

2. Items of property, plant and equipment with a cost that is significant in relation to the total cost of the item is depreciated separately using the component method. Depreciation expenses are recognized in profit or loss for each period unless they are included in the carrying amount of another asset. Depreciation is normally calculated on a straight-line basis over the useful life of the assets at annual rates. The Company examines the residual value, useful life and depreciation method of items of property, plant and equipment at least at each fiscal year-end and any changes are accounted for as a change in accounting estimate. Leasehold improvements are depreciated on a straight-line basis over the shorter of the lease term and the expected life of the improvement.

3. An item of property, plant and equipment is derecognized when disposed or when no future economic benefits are expected from its use or disposal.

4. As for impairment, see paragraph m below.

5. The Company recognizes the right to receive reimbursement from third parties for impaired items of property, plant and equipment when the reimbursement becomes receivable.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

h. Leases:

1. General:

On the lease engagement date, the Company determines whether a contract is a lease or includes lease components by examining whether the contract terms convey the right to control the use of an identified asset for a period of time in exchange for consideration. In any event of modification of the contract terms, the Company reassesses the existence of a lease.

The Company determines the lease period as the period during which the lease in noncancelable, also given the periods covered by options to extend (or cancel) the lease period, when it is reasonably certain that the lessee will exercise (or will not exercise) the option, pursuant to the provisions of IFRS 16 on leases.

2. The Company as lessee:

The Company recognizes on the commencement date of the lease a right-of-use asset and a lease liability, excluding leases whose term is up to 12 months and leases for which the underlying asset is of low value which are recognized as an expense in profit or loss and classified as cash flows from operating activities in the statement of cash flows.

On the commencement date, the lease liability includes all unpaid lease payments discounted at the interest rate implicit in the lease, if that rate can be readily determined, or otherwise using the Company's incremental borrowing rate. After the commencement date, the Company measures the lease liability by increasing the carrying amount to reflect the interest on the lease liability and reduce the carrying amount to reflect the lease payments made. As lessee, the Company also applies in some contracts the practical expedients of not separating the lease components from the lease contract.

On the commencement date, the right-of-use asset is recognized at cost, comprising the amount of initial measurement of the lease liability plus lease payments already made on or before the commencement date (less any lease incentives and initial direct costs incurred). The right-of-use asset is subsequently measured at cost less any accumulated depreciation and impairment losses.

Right-of-use assets are presented in the statement of financial position in the item in which the underlying assets would have been presented had they been owned by the Company. The lease liability is presented in trade payables or in long-term liabilities, as applicable. In the statement of comprehensive income, the Company presented the amortization expenses in respect of the right-of-use asset separately from finance expenses in respect of the lease liability. In the statement of cash flows, payments for the lease liability principal are classified as financing activities and payments for the interest on the lease liability are classified as operating activities.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

h. Leases (Cont.):

3. The Company as lessor in operating lease:

   The Company records assets under operating leases in accordance with the nature of the assets and recognizes income from the lease on a straight-line basis over the lease term. Initial direct costs incurred in holding operating lease negotiations are added to the carrying amount of the leased asset and therefore recognized as an expense on the same basis as the lease income. The Company recognizes depreciation expenses in respect of depreciable assets owned by it that are leased under operating leases. The depreciation policy regarding these assets is consistent with the depreciation policy of the depreciable assets owned by the Company.

i. Intangible assets:

1. Separately acquired intangible assets are measured on initial recognition at cost including directly attributable costs. Intangible assets acquired in a business combination are measured at fair value at the acquisition date. Expenditure on an intangible item that was initially recognized as an expense shall not be recognized as part of the cost of an intangible asset at a later date.

2. In subsequent periods, intangible assets are presented at cost less accumulated amortization and less accumulated impairment losses.

3. Research and development expenditures:

   Research expenditures are recognized in profit or loss when incurred. An intangible asset arising from a development project or from the development phase of an internal project is recognized when the following conditions are met:

   a) The technical feasibility of completing the intangible asset so that it will be available for use or sale can be demonstrated.

   b) The Company intends to complete the intangible asset and use or sell it.

   c) The Company is able to use or sell the intangible asset.

   d) The Company is able to demonstrate how the intangible asset will generate future economic benefits.

   e) There are available adequate technical, financial and other resources to complete the development and use or sale of the intangible asset.

   f) The expenditure attributable to the intangible asset during its development can be measured reliably.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

i. Intangible assets (Cont.):

4. Amortization period and method:

   a) The Company assesses for each intangible asset whether it has a definite or indefinite useful life. The Company annually reviews whether the assessment that the asset's useful life is indefinite can be sustained. Changes in the Company's assessments are accounted for as change in accounting estimate.

   b) The depreciable amount of an intangible asset with a definite useful life is systematically allocated over its useful life. The Company uses the straight-line method and recognizes amortization expenses for each period in profit or loss, unless they are included in the carrying amount of another asset.

   c) The Company reviews the useful life and amortization method used at least at each fiscal year-end. Changes are accounted for as changes in accounting estimates.

5. An intangible asset is derecognized when disposed or when no future economic benefits are expected from its use or disposal.

6. As for the impairment of intangible assets, see paragraph m below.

7. Regarding goodwill arising from business combinations and investments in companies accounted for at equity, see paragraphs 3b(4) and 3b(6) above, respectively.

j. Government grants:

1. Government grants, excluding grants from the Israel Innovation Authority, are only recognized when there is reasonable assurance that the grants will be received and the Company will comply with the attached conditions.

2. Government grants received for research and development activity, including grants from the Israel Innovation Authority, are presented net of research and development expenses.

k. Provisions:

1. A provision is recognized in the financial statements when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The amount recognized as a provision is the best estimate of the expense required for settling the existing liability as of the statement of financial position date at its present value (with the effect of the time value being material).

2. The Company recognizes a reimbursement asset only when it is virtually certain that the reimbursement will be received once the Company settles the obligation.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

k. Provisions (Cont.):

3. In connection with the aforesaid, the Company is accountable for the quality of the products sold to customers or of the work performed for customers after supply or completion. In order to cover this liability, a provision in included in the financial statements based on management's estimate in view of past experience. The Company also records specific provisions in respect of certain projects (onerous contracts), as needed.

4. A provision for restructuring is only recognized when there is a present legal or constructive obligation which means the Company has approved a formal and detailed restructuring plan, including reference to the location and number of employees who will be affected by the restructuring, the estimated related costs and the planned deadlines. Moreover, those affected by the restructuring have a valid expectation that the restructuring will be executed or has already commenced. Costs of termination benefits arising from a business restructuring are presented in a separate item in the statement of profit or loss.

l. Revenue recognition:

Revenue from contracts with customers, as detailed below, are recognized when the control over the goods or services is transferred to the customer. Revenue is measured at the amount of the consideration which the Company expects to receive for those goods or services, in conformity with IFRS 15.

1. Revenue from contracts with customers:

   The Company recognizes revenue when the customer obtains control of the promised goods or services. Assessing when the customer obtains control of the promised goods and/or services requires exercising significant judgment.

   For the majority of the Company's contracts, revenue is recognized over time, mainly since the contracts do not create an alternative use asset to the Company (among others, due to statutory and/or other limitations that restrict the Company) and the Company has an enforceable right to receive payment for performances completed by said date for these contracts. In other contracts, revenue is recognized over time since the Company's performance creates or enhances an asset that the customer controls as the asset is created or enhanced. Revenue produced over time is recognized using the percentage of completion method which in the majority of contracts is based on inputs for measuring the progress of performance according to which the percentage of completion is determined based on the estimated total costs needed to complete the performance obligation since the Company believes that the input method best reflects the manner of transfer of control over the goods and services. Revenues from certain maintenance contracts are recognized when the maintenance services are rendered based on total actual costs incurred in relation to the estimated total costs needed to settle the performance obligation and not based on the use of the asset underlying the maintenance services (for example according to flight hours).

   As for contracts which according to IFRS 15 do not meet the criteria of revenue recognition over time, for example in the manufacture and sale of business jets, revenue is recognized at a point in time, namely on the date of supply to the customer.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

l. Revenue recognition (Cont.):

2. Incremental costs of obtaining a contract:

Incremental costs of obtaining a contract with a customer which are capitalized as an asset are amortized on a systematic basis which is consistent with recognizing revenue from the delivery of the goods or services to the customer and are carried to cost of sales in the statement of profit or loss. Costs of obtaining a contract that would have incurred whether or not the contract has been obtained are recognized as an expense when incurred.

3. Identifying performance obligations:

On the date of engagement in a contract, the Company evaluates the goods or services promised in the contract with the customer and identifies as a performance obligation any promise of delivering to the customer either of the following: (i) separate goods or service (or a package of goods or services); or (ii) a series of separate goods or services which are essentially identical and share the same customer delivery pattern.

The Company identifies goods or services promised to a customer as separate when the customer can benefit from the goods or services by themselves or jointly with other resources that easily attainable by the customer and the Company's promise to deliver the goods or services can be identified distinctly from other promises in the contract. In order to test whether a promise to deliver goods or services can be identified separately, the Company evaluates whether a significant service is provided which consists of integrating the goods or the services with other goods or services promised in the contract in order to create a hybrid product as defined in the contract with the customer. When such a significant service of integrating the various goods and services in the contract to a hybrid product is provided, the Company identifies a single performance obligation.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

m. Impairment:

The Company examines at the end of each reporting period whether there are indications of impairment of fixed and intangible assets. If there are indications of impairment, the Company estimates the recoverable amount of the asset. The recoverable amount is the higher of the fair value less costs of sale of the asset (or cash-generating unit) and the value in use. The value in use is the present value of the expected future cash flows from the asset or the cash-generating unit. If the recoverable amount is lower than the asset's carrying amount, the Company recognizes an impairment loss and writes down the carrying amount to the recoverable amount.

The Company recognizes impairment losses immediately in profit or loss. If the recoverable amount of a single asset cannot be estimated, the Company calculates the recoverable amount of the cash-generating unit to which the asset belongs. A cash-generating unit is the smallest identifiable group of assets that generates cash inflows that are principally independent of cash inflows from other assets or groups of assets. For the purpose of impairment testing, goodwill acquired in a business combination is allocated from the date of acquisition to the cash-generating units that are expected to benefit from the business combination. The Company recognizes an impairment loss of a cash-generating unit if and only if the recoverable amount of the unit is lower than its carrying amount. In such event, the Company allocates the impairment loss to a decrease in the value of the unit assets, first against the goodwill allocated to the unit and subsequently to the other assets pro rata to their carrying amount. These losses are carried immediately to profit or loss.

In each reporting period, the Company evaluates whether there are indications that the impairment loss of an asset, excluding goodwill, that had been recognized in previous periods no longer exists or has been reduced. When such indications exist, the Company calculates the asset's recoverable amount. Impairment loss is only reversed when changes have occurred in the estimates used to determine the asset's recoverable amount from the latest date of recognition of the impairment loss. An increase in the carrying amount of an asset, excluding goodwill, as a result of the reversal of an impairment loss will not exceed the carrying amount that would have been determined (less depreciation or amortization) if an impairment loss had not been recognized in previous years. An impairment loss of goodwill is not reversed.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

n. Employee benefits:

1. Short-term employee benefits:

   Short-term employee benefits include salaries and other social benefits and are recognized as expenses as the services are rendered. A liability in respect of a cash bonus or a profit-sharing plan is recognized when the Group has a legal or constructive obligation to make such payment as a result of past service rendered by an employee and a reliable estimate of the amount can be made.

   The Company classifies the benefit as a short-term employee benefit when it is expected to be settled in full before 12 months have elapsed from the end of the annual reporting period in which the employees provide the relevant service.

2. Post-employment benefits:

   According to labor laws and agreements in Israel and the Group's policy, the Group companies are required to pay severance to employees who are terminated and under certain conditions also to employees who resign or retire. The Company's obligation to pay severance is in the context of Section 14 to the Severance Pay Law. The Company's obligation to pay severance to its employees in accordance with Section 14 to the Severance Pay Law is accounted for as a defined contribution plan. The Company recognizes the amount of contribution as an expense concurrently with the receipt of labor services from the employee. Amounts that have not yet been paid are recognized as a liability. Contributions made in excess of the required amounts reduce the Company's future payments. See also Note 20 below.

   Employee benefits in respect of holiday gifts (post-retirement), sick leave, adjustment grants and other benefits (see Note 20 below) are measured at present value using actuarial methods by an independent actuary based on the projected unit credit method. The present value of the benefit liability is determined using the expected future discounted cash flows. The actuarial calculation takes into account future salary increase and employee turnover rates based on the evaluated timing of payment. The amounts are presented based on the expected future discounted cash flows at the interest rate applicable on the reporting date to the yield on high-quality indexed corporate bonds which are denominated in the currency underlying the obligation and bear terms that are consistent thereto.

   The current service cost, past service cost, gain or loss from the settlement and net interest on the net liability (asset) in respect of the defined benefit are recognized in profit or loss.

   Actuarial gains and losses in respect of post-employment employee benefits in the context of a defined benefit plan are carried to other comprehensive income as incurred. Remeasurements of the defined benefit liability recognized in other comprehensive income are not reclassified to profit or loss in subsequent periods.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

n. Employee benefits (Cont.):

2. Post-employment benefits (Cont.):

   The plan assets are funds deposited by the Company in certain institutions in respect of its liabilities to pay severance to some of its employees on an ongoing basis such as pension funds and qualifying insurance policies.

3. Other long-term employee benefits:

   The Company classified a benefit as a long-term employee benefit when the benefit was not classified as either short-term employee benefit, post-employment employee benefit or termination benefit. A provision for vacation pay which management has decided is redeemable upon employee retirement was recorded based on an actuarial evaluation and was classified as a long-term liability when its remeasurement was recognized in profit or loss.

   Actuarial gains and losses on long-term employee benefits are carried to profit or loss when incurred.

4. Termination benefits:

   The liability in respect of employee termination benefits is recognized as the sooner of the date when the Company can no longer cancel offering the termination benefits and the date when the Company recognizes business restructuring costs that include payment of termination benefits. See more details in paragraph k(4) above and in Note 20 below.

o. Taxes on income:

1. The financial statements comprise deferred taxes in respect of temporary differences between financial reporting and tax reporting including any carryforward tax losses.

2. Deferred tax assets and deferred tax liabilities are measured at the expected applicable tax rates in the period during which the asset is realized or the liability settled based on the tax rates that have been enacted or substantively enacted by the reporting date.

3. The Company and subsidiaries create a deferred tax asset in respect of all the offsettable temporary differences if taxable earnings are expected against which the temporary differences can be offset.

4. The Company did not create a deferred tax liability in respect of temporary differences created for investments in investees. These temporary differences may be taxable if the Company realizes the investments in the investees since these investments were purchased for the purpose of holding and development and the Company has no intention of realizing them.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

o. Taxes on income (Cont.):

5. The Company may be subject to additional tax in the event of dividend distribution by investees. This additional tax has not been accounted for in the financial statements in respect of subsidiaries since the Company's policy is not to cause a taxable dividend distribution.

6. Current taxes and deferred taxes are carried directly to equity if the tax relates to items that were recognized in the current period or in previous periods directly in equity.

7. The Company recognizes and measures current or deferred tax assets and current or deferred tax liabilities in conformity with the criteria of IAS 12 based on the components for calculation of current and deferred taxes stipulated in IFRIC 23, as detailed below, including the assumption that the relevant tax authority is aware of uncertain tax treatments and will handle them accordingly. When the tax authority is not expected to accept uncertain tax treatments, the accounting treatment will be as prescribed in Note 2m(7) above. When the relevant tax authority is expected to accept uncertain tax treatments, the accounting treatment is consistent with the Company's tax returns.

8. All deferred tax assets and liabilities are presented in the statement of financial position as noncurrent assets and noncurrent liabilities, respectively, and are offset if there is a legally enforceable right to offset a current tax asset against a current tax liability and the deferred taxes relate to the same taxpayer and the same taxation authority.

p. Operating segments:

The Group's operating segment reporting framework is based on the manner in which the information is reviewed by the Company's Chief Operating Decision Maker. The accounting policies underlying the operating segments are consistent with the accounting policies applied in the consolidated financial statements.

q. Earnings per share:

Earnings per share were computed pursuant to the provisions of IAS 33 according to which, among others, the Company calculates basic earnings per share for the income or loss attributable to equity holders of Ordinary shares of the Company. Basic earnings per share are computed by dividing the income or loss attributable to equity holders of Ordinary shares of the Company by the weighted average number of outstanding Ordinary shares during the period.

NOTE 3:- ACCOUNTING POLICIES (Cont.)

r. Statement of cash flows:

1. Taxes paid are classified under cash flows from operating activities and disclosure is provided to the overall amount of taxes paid.

2. Dividends paid are classified in cash flows from financing activities.

3. Dividends received are classified in cash flows from operating activities.

4. Interest paid and interest received are classified under cash flows from operating activities.

s. New standards issued in the period that are not yet applicable:

IFRS 18, "Presentation and Disclosure in Financial Statements" ("IFRS 18")

Published by the IASB in April 2024, IFRS 18 aims to improve comparability and transparency of companies' performance reporting. IFRS 18 replaces IAS 1, "Presentation of Financial Statements", and does not change any recognition or measurement requirements in the financial statements.

IFRS 18 sets out significant new requirements for how financial statements are presented, with particular focus on the statement of profit or loss, including requirements for mandatory sub-totals to be presented, aggregation and disaggregation of information, as well as disclosures related to management-defined performance measures (MPMs). The IFRS 18 has also resulted in narrow changes to the statement of cash flows.

IFRS 18 has resulted in certain consequential amendments to other IFRS Accounting Standards, such as IAS 7, "Statement of Cash Flows".

IFRS 18 is effective retrospectively for annual reporting periods beginning on or after January 1, 2027 and requires providing specific disclosure as set out in the transition provisions.

IFRS 18 can be adopted early, subject to providing disclosure. However, as per the ISA Staff Corporate Decision 2024-01 of August 4, 2024 regarding deferral of early adoption of IFRS 18, early adoption is not possible before January 1, 2025.

The Company is evaluating the possible effects of IFRS 18 on its financial statements but at present cannot assess such effects. Nevertheless, any effect IFRS 18 might have on the financial statements is limited to presentation and disclosure.

NOTE 4:- CASH AND CASH EQUIVALENTS

a. Composition:

	December 31,	
	2024	2023
	U.S. dollars in millions	
Cash	**290**	542
Short-term deposits (b)	**251**	323
Total	**541**	865

b. Additional information:

1. NIS and USD deposits, see also Note 22f below regarding linkage bases.

2. The average annual interest rate of NIS deposits as of December 31, 2024 and 2023 is about 4.2% and about 4.5%, respectively.

3. The average annual interest rate of USD deposits as of December 31, 2024 and 2023 is about 4.7% and about 5.7%, respectively.

NOTE 5:- SHORT-TERM FINANCIAL ASSETS

a. Composition:

	December 31,	
	2024	2023
	U.S. dollars in millions	
Hedging instruments:		
Forwards (b(1))	**30**	17
Options (b(1))	**8**	10
Designated deposits (b(1))	**16**	14
	54	41
At fair value through profit or loss:		
Government bonds (b(2))	**122**	35
Corporate debentures (b(3))	**227**	65
Derivatives not designated as hedging instruments	**1**	-
Mutual funds	**13**	7
	363	107
At amortized cost:		
Deposits, net (b(4))	**2,974**	532
	2,974	532
Total	**3,391**	680

b. Additional information:

1. NIS forward, options and deposits mainly designated for hedging changes in exchange rates in respect of expected salary payments and forward and option contracts in Euro designated to hedge against changes in exchange rates in respect of payments and receipts.

2. Government bonds with average life of 3.5 years and average yield-to-maturity of about 4.5% per annum.

3. Marketable corporate debentures with average life of 3.8 years and average yield-to-maturity of about 5.1% per annum.

4. NIS deposits bearing average interest of about 4.6% and USD deposits bearing average interest of about 5.9%, see also Note 22f below regarding linkage bases.

NOTE 6:- TRADE RECEIVABLES

a. Composition:

	December 31,	
	2024	**2023**
	U.S. dollars in millions	
Open debts:		
Unrelated party customers	**542**	739
Related parties (b(1))	**745**	580
Total open debts	**1,287**	1,319
Less - allowance for doubtful accounts:		
Balance at beginning of year	**(32)**	(28)
Net provision increase (b(2))	**(5)**	(4)
Decrease in respect of collected or written-off debts, net	**21**	-
Balance at end of year	**(16)**	(32)
Total	**1,271**	1,287

b. Additional information:

1. See Note 34 below.

2. The addition to the provision for doubtful debts in 2024 and 2023, and the recognition of bad debts stem from the Company's assessment of expected credit losses in respect of certain customers in the ELTA Group and Aviation Group.

3. As for aging of trade receivables, see Note 22d(4)(b) below.

NOTE 7:- CONTRACT ASSETS, NET

a. Composition:

	December 31,	
	2024	2023
	U.S. dollars in millions	
Gross contract assets	**1,742**	1,936
Less – customer advances	**(378)**	(516)
Contract assets, net	**1,364**	1,420

b. Additional information:

1. The Company presents a right to receive consideration for goods or services transferred to customers as contract assets when the right is conditional on a factor other than the passage of time. If the right becomes unconditional (unless only the passage of time is required before payment of that consideration is due), the balance of the contract asset is classified in trade receivables. In 2024, a balance of approximately $ 864 million was classified from the balance of contract assets at beginning of the year to trade receivables. In 2023, a balance of approximately $ 788 million was classified from the balance of contract assets at beginning of the year to trade receivables.

2. The Company accounts for the impairment of contract assets consistently with the accounting treatment of financial assets at amortized cost.

3. See additional information of related party balances in Note 34 below.

NOTE 8:- OTHER ACCOUNTS RECEIVABLE

a. Composition:

	December 31,	
	2024	2023
	U.S. dollars in millions	
Government authorities	**6**	24
Employees	**3**	7
Deferred charges and advances to suppliers (b(1))	**489**	399
Related parties (b(2))	**159**	140
Other (b(3))	**64**	23
Total	**721**	593

b. Additional information:

1. Includes incremental costs of obtaining contracts with customers. In 2024 and 2023, the Company recognized amortization expenses in respect of an asset for costs to obtain a contract totaling approximately $ 69 million and approximately $ 71 million, respectively.

2. Including balance of advances to suppliers that are a related party, see additional information of related party balances in Note 34 below.

3. Mainly includes interest receivable.

NOTE 9:- INVENTORIES

a. Composition:

	December 31,	
	2024	2023
	U.S. dollars in millions	
Raw materials, parts and auxiliary materials	**508**	511
Work in progress (b)	**687**	599
Less - provision for write down of inventories and work in progress	**(163)**	(145)
Total	**1,032**	965

b. Additional information:

Performance costs of signed contracts for which revenue has not yet been recognized or when the contracts are performed prior to signing contracts with customers.

NOTE 10:- LONG-TERM RECEIVABLES

a. Composition:

	December 31,	
	2024	2023
	U.S. dollars in millions	
Deferred taxes	**7**	13
Other long-term assets	**68**	19
Total	**75**	32

b. Additional information:

For information of movement in deferred taxes, see Note 31i below.

NOTE 11:- INVESTMENTS IN ASSOCIATES, JOINT VENTURES AND INVESTEES

a. Condensed financial data of investees accounted for at equity:

	Holding rate	Carrying amount of the Investment as of December 31,		The Company's share of earnings (losses) in the year ended December 31,	
	31.12.2024	2024	2023	2024	2023
		U.S. dollars in millions			
Associates:					
ISI (b(1))	31%	**45**	48	**(1)**	1
TSG (b(2))	43%	**28**	22	**1**	(2)
Niart (b(3))	-	**24**	-	**-**	-
Growings (b(4))	45%	**9**	15	**(6)**	(5)
Other (b(5))		**9**	14	**1**	2
Total associates		**115**	99	**(5)**	(4)
Joint ventures:					
Iron Brain (b(6))	50%	**7**	4	**(2)**	-
M&B Conversions Limited (b(7))	50%	**6**	6	**6**	10
Other		**3**	2	**1**	-
Total joint ventures		**16**	12	**5**	10
Total		**131**	111	**-**	6

NOTE 11:- INVESTMENTS IN ASSOCIATES, JOINT VENTURES AND INVESTEES (Cont.)

b. Additional information:

1. Investment in ImageSat International N.V. ("ISI"):

a) As of the financial statement date, the Company holds about 31% of the issued and outstanding share capital of ISI which markets satellite images taken by electro-optical observation satellites in high resolution. In addition, the Company has a right to receive an outstanding loan granted to ISI. Also, according to the investment agreement signed in 2017 between the Company and FIMI, a private equity fund, the parties agreed that the Company will be entitled to receive a contingent consideration provided that certain prerequisites are met.

b) ISI's IPO on the TASE in 2022:

In the first quarter of 2022, ISI completed its IPO and began trading on the TASE. In addition to raising capital, the IPO also included an offer for the sale of some of the shareholders' interests in ISI prior to the IPO, in which the Company chose not to participate.

As a result of the IPO and sale of shares as above, the Company's interests in ISI decreased from about 38% to about 31%.

Before ISI's IPO, the contractual cash flows of the loan did not give rise to payments on specified dates that are solely payments of principal and interest ("SPPI") on the principal amount outstanding. Therefore, the loan was measured at fair value through profit or loss (FVPL).

Following the IPO, the Company recognized comprehensive income of approximately $ 16 million, of which approximately $ 11 million from the decrease in interests and the balance from the remeasurement of the loan previously granted by the Company to ISI and of the contingent consideration which the Company is entitled to receive as stated above. The gain was carried to other income and finance income based on the relevant revenue recognition component.

From the IPO date, the Company no longer measures the loan at fair value but instead presents it at its carrying amount (using the amortized cost method). As of December 31, 2024, the outstanding loan (including interest) approximates $ 33 million and is presented in other accounts receivable.

c) The effect of the fair value remeasurement of the contingent consideration component in 2024 was immaterial.

NOTE 11:- INVESTMENTS IN ASSOCIATES, JOINT VENTURES AND INVESTEES (Cont.)

b. Additional information (Cont.):

2. TSG IT Advanced Systems Ltd.:

   TSG IT Advanced Systems Ltd. ("TSG") specializes in cutting-edge technology solutions for defense, civil services, and municipal sectors. On August 1, 2024, TSG completed an IPO and began trading on the TASE. In the IPO, TSG issued new shares to the public which account for about 14.3% of its issued and outstanding share capital post allocation and raised gross proceeds of approximately NIS 62 million. Following the IPO, the Company's interests in TSG were diluted from 50% to about 43%. As a result of the IPO and the dilution of the Company's interests in TSG, in 2024, the Company recognized a gain in an immaterial amount which was carried to other income.

3. In the second quarter of 2024, a wholly owned subsidiary of the Company, ELTA Systems Ltd. ("ELTA"), closed a transaction with an unrelated corporation ("the partner") for co-founding a new joint venture that will develop, manufacture and globally distribute obstacle detection solutions for the civil transportation industry including the railway industry, based on digital radar with multi-spectral electro-optical sensors developed by ELTA in the context of a special project ("the project"). According to the transaction, the partner will establish an Israeli company ("NIART") which will be 100% held by the partner in return for a capital contribution of approximately $ 25 million to be invested in three tranches within a year from the closing date. Upon NIART's foundation, ELTA will transfer to NIART the entire project operations, tangibles and intangibles, including knowhow, patents and various rights, as well as the project's team of professionals, in return for approximately $ 6 million and warrants that are exercisable into 49.9% of NIART's share capital with no exercise increment.

   The project operations transferred to NIART represent a business as per accounting principles pertaining to business combinations and accordingly, in the second quarter of 2024, the Company recognized other income of approximately $ 26 million from loss of control interests in a business.

   The Company accounts for the capital investment in NIART (the warrants) at equity although it does not hold any shares therein as of the financial statement date, yet it is the beneficial owner of the rights attached to the warrants which grant it access to the returns and the power of influence that are associated with ownership rights.

NOTE 11:- INVESTMENTS IN ASSOCIATES, JOINT VENTURES AND INVESTEES (Cont.)

b. Additional information (Cont.):

4. Investment in Growings Robotx Ltd.:

   In 2019, the Company entered into an engagement with a private unrelated company ("the partner") for founding Growings Robotx Ltd., a joint venture that will develop and provide agricultural solutions and services ("Growings" and/or "the joint venture"). The Company and the partner hold 45% and 55% of the joint venture's share capital, respectively. On the date of the joint venture's foundation, the Company transferred to the joint venture various assets and rights as well as several employees (transfer of business operation in keeping with the accounting treatment of business combinations). Concurrently, the partner transferred to the joint venture a cash contribution of $ 15 million. The Company accounted for the investment in the joint venture at equity.

   In each of the years 2023 and 2020, the Company invested another amount of approximately $ 11 million in the joint venture concurrently with the partner's investment pro rata to its interests in the joint venture. Accordingly, the Company's interests in the joint venture remained unchanged.

5. In 2024, the Company, through ELTA, recognized a loss from impairment of its investments in associates totaling approximately $ 6 million.

6. Investment in Iron Brain Ltd.:

   In 2024, the Company, through ELTA, acquired 20% of the issued and outstanding share capital of Iron Brain Ltd. ("Iron Brain"), an Israeli corporation which designs AI based solutions for the defense market, for approximately $ 5 million. The investment is in addition to an initial investment made by the Company in Iron Brain in 2023 during which the Company acquired 30% of Iron Brain's issued and outstanding share capital for approximately $ 4 million. The change in the Company's interests in Iron Brain did not lead to a change in the assessment of the Company's control over Iron Brain and therefore the latter continues to be classified as an investee accounted for at equity.

7. Joint venture in the aircraft conversion industry incorporated in Ireland and equally held with a foreign partner. The JV develops and markets customized B767-300 cargo reconfiguration plans.

NOTE 11:- INVESTMENTS IN ASSOCIATES, JOINT VENTURES AND INVESTEES (Cont.)

c. Principal subsidiaries:

1. Composition:

	Rate of equity and voting rights December 31,	
	2024	2023
	%	
ELTA Systems Ltd.	100	100
IAI North America Inc.	100	100
Stark Aerospace Inc.	100	100
ELTA North America Inc.	100	100
I.A.I. ASIA Pte Ltd.	100	100
European Advanced Technology S.A.	100	100
Mardan Holdco Pte Ltd.	100	100
Israel Aerospace India Pte Ltd.	100	100
Israel Aerospace India Services Private Limited	100	100
Lardosa Investment B.V.	100	100
Intracom Defense S.A. (2a)	100	100
Hela Systems Private Limited (2b)	100	100
Ziv-Av Technologies Ltd. (2c)	50	50
Eltel Technologistics Ltd.	50	50
Elbatech Ltd.	50	50
Bluebird Aero Systems Ltd.	50	50

2. Initial consolidation of subsidiaries:

a) Initial consolidation of Intracom Defense S.A.:

(1) In the second quarter of 2023, closing was achieved for a transaction between the Company and the shareholders of Intracom Defense S.A. ("IDE") for the purchase of 100% of IDE's issued and outstanding share capital. IDE is a leading Greek electronics, communications and hybrid energy systems provider which manufactures launchers, missile subassemblies, land, maritime and other tactical communications solutions. It is allocated for management purposes to the Systems Missile & Space Group.

(2) According to the transaction terms, the Company will hold 100% of IDE's issued and outstanding share capital within three years from the closing date in return for approximately $ 68 million. As of the financial statement date, the Company holds more than 90% of IDE's share capital and the remaining shares will be transferred in the future based on the terms of the agreement.

NOTE 11:- INVESTMENTS IN ASSOCIATES, JOINT VENTURES AND INVESTEES (Cont.)

c. Major subsidiaries (Cont.):

2. Initial consolidation of subsidiaries (Cont.):

a) Initial consolidation of Intracom Defense S.A. (Cont.):

(3) The Company consolidates IDE's financial statements from June 30, 2023.

(4) IDE's contribution to the consolidated revenues from the business combination date to December 31, 2023 amounted to approximately $ 24 million.

(5) Following are the identifiable assets of IDE as measured and consolidated in the Company's interim condensed consolidated financial statements as of June 30, 2023:

	Fair value recognized on purchase date
	U.S. dollars in millions
Assets purchased and liabilities assumed:	
Cash and cash equivalents	4
Trade and other receivables	11
Inventories	32
Investment in companies measured at cost	1
Deferred taxes	5
Property, plant and equipment, net	40
Trade payables	(20)
Privisions	(2)
Employee benefits	(3)
Total net identifiable assets	**68**
Goodwill recognized upon purchase	**-**
Non-controlling interests	**-**

NOTE 11:- INVESTMENTS IN ASSOCIATES, JOINT VENTURES AND INVESTEES (Cont.)

c. Major subsidiaries (Cont.):

2. Initial consolidation of subsidiaries (Cont.):

a) Initial consolidation of Intracom Defense S.A. (Cont.):

(6) The purchase price paid in the business combination:

	Fair value recognized on purchase date
	U.S. dollars in millions
Purchase price paid in the business combination:	
Cash	56
Contingent consideration	12
Total purchase price	**68**

(7) Cash flow arising from the business combination:

	As of the purchase date
	U.S. dollars in millions
Purchase price paid in cash and cash equivalents	(56)
IDE's cash and cash equivalents on purchase date	4
Total cash outflow	**(52)**

b) In the second quarter of 2023, the Company, through a sub-subsidiary which is a subsidiary of ELTA Systems Ltd., purchased the remaining 74% of the issued and outstanding share capital of Hela Systems Private Limited ("Hela"), which before the business combination had been held by the Company at a rate of 26% and accounted for as an investment in an associate. As a result of the business combination, from the second quarter of 2023, the Company consolidates Hela's financial statements. On the business combination date, the Company revalued the investment in the associate to fair value in an immaterial amount. The total net cash outflow used to complete the transaction amounted to approximately $ 2 million.

NOTE 11:- INVESTMENTS IN ASSOCIATES, JOINT VENTURES AND INVESTEES (Cont.)

c. Major subsidiaries (Cont.):

2. Initial consolidation of subsidiaries (Cont.):

c) Initial consolidation of Ziv-Av Technologies Ltd.:

(1) In the fourth quarter of 2023, closing was achieved for a transaction between the Company and the shareholders of Ziv-Av Technologies Ltd. ("Ziv-Av") for the purchase of 50% of Ziv-Av's issued and outstanding share capital.

(2) The Company consolidates Ziv-Av's financial statements from December 31, 2023 although it does not directly or indirectly hold more than half of the voting rights in Ziv-Av but does exercise effective control in Ziv-Av as it is exposed to variable returns from its interests in Ziv-Av and has rights that confer it the power to influence and the current ability to outline the activities that have the most significant effect on Ziv-Av's returns.

(3) Following are Ziv-Av's net identifiable assets as measured and consolidated in the Company's consolidated financial statements as of December 31, 2023:

	Value recognized on acquisition date
	U.S. dollars in millions
Assets purchased and liabilities assumed:	
Cash and cash equivalents	6
Short-term investments	2
Property, plant and equipment, net	1
Working capital items, net	(4)
Total net identifiable assets	**5**
Goodwill recognized upon acquisition	**2**
Non-controlling interests	**(3)**

(4) The purchase price paid in the business combination:

	Value recognized on acquisition date
	U.S. dollars in millions
Purchase price paid in the business combination:	
Cash	4
Contingent consideration	-
Total purchase price	**4**

NOTE 11:- INVESTMENTS IN ASSOCIATES, JOINT VENTURES AND INVESTEES (Cont.)

c. Major subsidiaries (Cont.):

2. Initial consolidation of subsidiaries (Cont.):

c) Initial consolidation of Ziv-Av Technologies Ltd. (Cont.):

(5) Cash flow arising from the business combination:

	As of the purchase date
	U.S. dollars in millions
Purchase price paid in cash and cash equivalents	(4)
Ziv-Av's cash and cash equivalents on purchase date	6
Total cash outflow	**2**

NOTE 12:- PROPERTY, PLANT AND EQUIPMENT

a. Composition and movement in 2024:

	Land, buildings and service installations	Machinery, systems, equipment and tools	Computers, office furniture and equipment	ROU assets for land and offices	ROU assets for vehicles	Total
	U.S. dollars in millions					
Cost						
Balance at beginning of year	**1,365**	**1,360**	**308**	**143**	**58**	**3,234**
Additions	**94**	**105**	**39**	**18**	**33**	**289**
Disposals	**(30)**	**(70)**	**(10)**	**(3)**	**(15)**	**(128)**
Translation differences	**-**	**-**	**(1)**	**-**	**-**	**(1)**
Balance at end of year	**1,429**	**1,395**	**336**	**158**	**76**	**3,394**
Accumulated depreciation						
Balance at beginning of year	**(694)**	**(858)**	**(198)**	**(15)**	**(20)**	**(1,785)**
Additions and impairment	**(53)**	**(97)**	**(26)**	**(9)**	**(23)**	**(208)**
Disposals	**17**	**57**	**9**	**3**	**15**	**101**
Balance at end of year	**(730)**	**(898)**	**(215)**	**(21)**	**(28)**	**(1,892)**
Depreciated balance at end of year	**699**	**497**	**121**	**137**	**48**	**1,502**

NOTE 12:- PROPERTY, PLANT AND EQUIPMENT (Cont.)

b. Composition and movement in 2023:

	Land, buildings and service installations	Machinery, systems, equipment and tools	Computers, office furniture and equipment	ROU assets for land and offices	ROU assets for vehicles	Total
	U.S. dollars in millions					
Cost						
Balance at beginning of year	1,220	1,313	264	60	50	2,907
Additions	89	60	43	89	40	321
Disposals	(2)	(32)	(11)	(6)	(32)	(83)
Business combinations	58	20	12	-	-	90
Translation differences	-	(1)	-	-	-	(1)
Balance at end of year	1,365	1,360	308	143	58	3,234
Accumulated depreciation						
Balance at beginning of year	(610)	(769)	(179)	(12)	(31)	(1,601)
Additions and impairment	(62)	(92)	(23)	(8)	(20)	(205)
Disposals	2	20	11	5	31	69
Business combinations	(25)	(17)	(7)	-	-	(49)
Translation differences	1	-	-	-	-	1
Balance at end of year	(694)	(858)	(198)	(15)	(20)	(1,785)
Depreciated balance at end of year	671	502	110	128	38	1,449

c. Additional information:

1. The Company's Israeli activities and enterprises are performed and located on real estate covering an overall area of some 3,900 thousand sq. m., most of which in the Company's main area of activity in the vicinity of Ben-Gurion Airport.

2. The Company's main real estate rights in Israel are leasehold rights (some of which are settled while others are not, as explained below) for a period of 49 years which are generally renewed for an additional period of 49 years, subject to the limitations and conditions prescribed in the lease agreements. The leases are for periods ending between 2014-2059 with an option for extension by another 49 years, subject to the limitations and conditions prescribed in the lease agreements. Lease contracts have not been prepared for some of the Company's rights. The Company has been acting to renew and/or extend the lease contracts vis-a-vis the Israel Land Authority, as applicable. As of the reporting date, the Company is acting to settle its real estate rights.

NOTE 12:- PROPERTY, PLANT AND EQUIPMENT (Cont.)

c. Additional information (Cont.):

3. As of the reporting date, the majority of the Ben-Gurion Airport complex area is defined as a regional area (that is not municipally owned by any local or regional authority).

4. From July 2023, the Company leases real estate rights of an Air Force base located near the Ben-Gurion Airport in an area of some 513,000 sq. m. In October 2023, the Company paid the entire lease fees of approximately $ 75 million based on an updated financial plan issued by the Israel Land Authority ("the ILA") in June 2023. The leases are for periods ending between 2023-2072 with an option for extension by another 49 years.

5. The Israeli Government allows the Company to use the State's buildings, installations and equipment for taking orders from Government authorities and institutions. The Company is entitled to use these assets for performing work for others in return for usage fees. These assets are held at the Company's expense and responsibility and are not presented as assets in its financial statements.

6. In 2024, the Company invested approximately $ 66 million in inhouse PP&E production.

7. In 2024, the Company derecognized fully depreciated PP&E with an original cost of approximately $ 54 million.

8. The Company leases a vehicle fleet generally for a period of three years.

9. The annual depreciation rates are as follows:

Item	%
Buildings and service installations	2-10 (mainly 4)
Machinery, systems, equipment and tools	10-20 (mainly 15)
Computers, office furniture and equipment	10-17 (mainly 17)

NOTE 13:- INTANGIBLE ASSETS

a. Composition and movement in 2024:

	Software	Capitalized costs of development in progress	Knowhow	Customer relations, order backlog and other	Goodwill	Total
	U.S. dollars in millions					
Cost						
Balance at beginning of year	**193**	**419**	**21**	**12**	**16**	**661**
Purchases and in-house development	**5**	**55**	**-**	**-**	**-**	**60**
Disposals	**(2)**	**(5)**	**-**	**-**	**-**	**(7)**
Balance at end of year	**196**	**469**	**21**	**12**	**16**	**714**
Accumulated depreciation						
Balance at beginning of year	**(167)**	**(144)**	**(13)**	**(6)**	**(6)**	**(336)**
Additions and impairment	**(13)**	**(2)**	**(1)**	**(1)**	**-**	**(17)**
Disposals	**2**	**5**	**-**	**-**	**-**	**7**
Balance at end of year	**(178)**	**(141)**	**(14)**	**(7)**	**(6)**	**(346)**
Depreciated balance at end of year	**18**	**328**	**7**	**5**	**10**	**368**

NOTE 13:- INTANGIBLE ASSETS (Cont.)

b. Composition and movement in 2023:

	Software	Capitalized costs of development in progress	Knowhow	Customer relations, order backlog and other	Goodwill	Total
	U.S. dollars in millions					
Cost						
Balance at beginning of year	185	352	27	8	13	585
Purchases and in-house development	5	67	2	4	-	78
Business combination	4	-	-	1	3	8
Translation differences	-	-	-	(1)	-	(1)
Disposals	(1)	-	(8)	-	-	(9)
Balance at end of year	193	419	21	12	16	661
Accumulated depreciation						
Balance at beginning of year	(156)	(141)	(20)	(6)	(6)	(329)
Additions and impairment	(8)	(3)	(1)	-	-	(12)
Business combination	(4)	-	-	-	-	(4)
Disposals	1	-	8	-	-	9
Balance at end of year	(167)	(144)	(13)	(6)	(6)	(336)
Depreciated balance at end of year	26	275	8	6	10	325

c. Additional information:

1. As of the date of the financial statements, intangible assets in respect of capitalized ongoing development costs mainly include costs in respect of the development and licensing of passenger aircraft conversion into cargo configuration and costs for development of business jets.

2. See details of the initial consolidation of Hela, Ziv-Av and IDE in Note 11c(2) above.

NOTE 14:- LOANS FROM BANKS AND CURRENT MATURITIES OF DEBENTURES

a. Composition:

	Stated interest rate at 31.12.24	December 31,	
		2024	2023
		U.S. dollars in millions	
Loans and credit from banks (b(1))	6.2%-6.7%	**83**	115
Debentures:			
Debentures (series D) (b(1))	5.45%	**43**	43
Total		**126**	158

b. Additional information:

1. As for financial covenants, see Note 21b(2) below.

2. As for additional information on linkage bases, see Note 22f below.

NOTE 15:- TRADE PAYABLES

a. Composition:

	December 31,	
	2024	2023
	U.S. dollars in millions	
Unrelated trade payables (b)	**1,146**	1,011
Related parties	**90**	97
Total	**1,236**	1,108

b. Additional information:

Includes lease liabilities, see also Note 22d(5)(c) below.

Total finance expenses in respect of lease liabilities in 2024 and 2023 were immaterial.

NOTE 16:- OTHER ACCOUNTS PAYABLE

Composition:

	December 31,	
	2024	2023
	U.S. dollars in millions	
Employees and payroll accruals	**416**	404
Current maturities of employee benefit liabilities (1)	**29**	35
Other liabilities	**103**	107
Total	**548**	546

(1) See Note 20b below.

NOTE 17:- PROVISIONS

a. Composition:

	Provision for warranty (b)	Provision for onerous contract (c)	Other (d)	Total
	U.S. dollars in millions			
Balance at December 31, 2023	**262**	**70**	**44**	**376**
Movement in 2024:				
Additions and/or changes in the year	**37**	**17**	**15**	**69**
Exercised provisions in the year	**(46)**	**(25)**	**-**	**(71)**
Balance at December 31, 2024	**253**	**62**	**59**	**374**

b. Provision for warranty:

The provision for warranty was recognized with respect to anticipated warranty claims in respect of products sold or jobs performed for which the Company has provided warranty for the quality of the products supplied or the work performed. The provision is based on estimated prepared in accordance with past experience.

e. Provision for onerous contract:

In November 2022, after obtaining the approval of the Company's Audit Committee, the Company's Board approved a transaction between the subsidiary ELTA and the Israeli MOD for a contract of NIS 80 million (including VAT). Since the transaction constitutes a onerous contract, the Company recognized in its financial statements for 2022 a gross loss of approximately $ 50 million. As of December 31, 2024 and 2023, the provision for onerous contract in respect of this contract approximates $ 26 million and $ 40 million, respectively.

NOTE 17:- PROVISIONS (Cont.)

d. Other:

Includes provisions for legal claims as estimated by the Company's legal counsel.

Several claims and demands have been filed against the Company and subsidiaries in the ordinary course of business in an aggregate of approximately $ 111 million. Based on the Company's legal counsel, adequate provisions were included in the financial statements in respect of these claims and demands. The provisions in respect of claims relating to employer-employee relations are included in accounts payable. In addition, there are claims pending against the Company which management believes are covered by appropriate insurance policies and are handled by and at the responsibility of the insurance companies.

NOTE 18:- CONTRACT LIABILITIES, NET

a. Composition:

	December 31,	
	2024	**2023**
	U.S. dollars in millions	
Gross contract liabilities	**5,743**	3,950
Less - progress billings classified to contract assets	**(378)**	(516)
Contract liabilities, net	**5,365**	3,434

b. In 2024, the Company recognized revenue of approximately $ 1,912 million included in the balance of contract liabilities at January 1, 2024. In 2023, the Company recognized revenue of approximately $ 1,779 million included in the balance of contract liabilities at January 1, 2023.

c. See additional information of related party balances in Note 34 below.

NOTE 19:- DEBENTURES

a. General:

Debentures (series D):

In July 2014, the Company issued to the public NIS 463,342,000 (approximately $ 135 million) par value of debentures (series D). The debentures (series D) bear variable interest of the Bank of Israel plus a margin of 0.95% (principal and interest unlinked to any index or currency). As per the issue terms, the interest is calculated and payable in semi-annual instalments on December 1 and June 1 of each calendar year from December 1, 2014 through December 1, 2023 (inclusive). Moreover, the principal is payable in three equal instalments on December 1 of each of the years 2021 through 2023.

In August 2024, the meeting of holders of debentures (series D) approved the extension of the average life of the debentures. According to the approval, the date of the final debenture principal payment of NIS 154,450,422 par value (accounting for 33.34% of the debenture principal) will be deferred to December 1, 2025 (instead of December 1, 2024). In addition, two interest instalments were added to the debentures to be paid on June 1, 2025 and December 1, 2025. The other terms of the deed of trust and debentures continue to apply.

It should be noted that the above extension of the repayment dates does not arise from any cash flow difficulty but instead is designed to retain the Company's classification as a reporting entity.

b. Additional information:

1. The outstanding principal of debentures (series D) is fully classified in current maturities of debentures as of December 31, 2024, see Note 14a above.

2. The debentures (series D) have been rated by Maalot at AAA from July 2023. This rating was reaffirmed in December 2023 and July 2024.

NOTE 20:- EMPLOYEE BENEFITS

a. Composition:

	December 31,	
	2024	2023
	U.S. dollars in millions	
Employee benefit liability (f)	**272**	258
Less - current maturities in respect of vacation pay (b)	**(13)**	(12)
Liability for early retirement and pension annuities (g)	**19**	28
Less - current maturities in respect of early retirement (b)	**(16)**	(23)
Total	**262**	251

b. Current maturities:

In respect of vacation pay:

	December 31,	
	2024	2023
	U.S. dollars in millions	
First year	**5**	5
Second year	**4**	3
Third year	**4**	4
Total current maturities	**13**	12

In respect of early retirement and pension annuities:

	December 31,	
	2024	2023
	U.S. dollars in millions	
First year	**9**	13
Second year	**4**	6
Third year	**3**	4
Total current maturities	**16**	23

NOTE 20:- EMPLOYEE BENEFITS (Cont.)

c. Defined contribution plans:

1. In June 2006, the Company and its subsidiary and the workers' representatives signed a collective agreement ("the pension agreement") that settles the issue of pension accruals in the Company and applies to all its employees, excluding students and temporary employees who are subject to the expansion order (combined version) regarding mandatory pension of 2011 pursuant to the Collective Agreements Law, 1957.

2. The Company makes current contributions as required by applicable labor laws in order to guarantee its entire employees' pension rights according to agreements and/or applicable laws.

3. Section 14 to the Severance Pay Law, 1963 ("Section 14") applies to employees who retire, including in the event of demise, and the Company's obligations in their respect are covered by the Company's current contributions to provident funds.

4. The amounts deposited in the provident funds are subject to Section 14 and are not under the Company's control or management. Accordingly, the financial statements do not reflect such amounts or their respective liabilities.

5. The amounts recognized as an expense in respect of the defined contribution plan in 2024, 2023 and 2022 approximate $ 164 million, $ 155 million and $ 158 million, respectively.

6. In respect of termination benefits, the Company makes current contributions accounting for 8.33% of the employees' insured salary based on labor agreements and governed by the following rules:

   a) With respect to employees who are insured under "Old Mivtachim" Pension Fund, the Company is obligated to pay full severance pay (100%) pursuant to the Severance Pay Law, 1963. Employees who are terminated are entitled to receive the amounts accrued in their respect based on the 6% and 2.33% contribution components and to full severance pay at the least. If the amounts accrued based on the 6% and 2.33% contribution schemes are lower than the severance pay predetermined in the Severance Pay Law, the Company will complete the gap. If the amounts accrued as above exceed 100%, the Company may withdraw the difference only from the 2.33% contribution component. It should be noted that as a rule, the Company does not terminate employees under this category. Such employees terminate their work relations with the Company only when reaching retirement age or under an early retirement plan. Voluntary termination by the employees under circumstances that do not qualify for severance pay entitle the employees to the amounts accrued under the 6% contribution component.

NOTE 20:- EMPLOYEE BENEFITS (Cont.)

c. Defined contribution plans (Cont.):

6. (Cont.)

b) With respect to employees who are insured under "New Mivtachim" Pension Fund or by the Company's employees' provident fund, they are partially subject to the provisions of Section 14 (only with respect to the 6% contribution component which accounts for 72% of all contributions and not with respect to the remaining 2.33% contribution component). Such employees who are terminated are entitled to the higher of the accrued 2.33% contribution component and supplementation of the difference in respect of the 2.33% component (28%). Voluntary termination by the employees under circumstances that do not qualify for severance pay entitle the employees to the amounts accrued under the 6% contribution component.

c) All other employees are fully subject to the provisions of Section 14 and accordingly, in the event of termination, the Company has no obligation to such employees in excess of its current contributions. Voluntary termination by the employees under circumstances that do not qualify for severance pay entitle the employees to the total amounts contributed in their respect on an ongoing basis to be released to them/to their credit.

d. Defined benefit plans and other long-term employee benefits:

1. Grants and benefits upon retirement:

According to labor agreements in the Company and in a subsidiary (ELTA), employees who retire from the Company (under different circumstances) are entitled to the following benefits:

a) Adjustment grant - employees who retire are entitled to a non-recurring adjustment grant in the amount of one monthly salary. The Company recognizes this benefit liability by measuring it using an actuarial valuation method.

b) Grant for non-utilization of sick days – such employees are entitled to a grant for redemption of unused sick days that have not been converted into vacation days (in the context of attendance awards) of up to three monthly salaries. The Company recognizes this benefit liability by measuring it using an actuarial valuation method.

c) Grant due to disability - employees who retire due to 100% disability are entitled to a non-recurring grant of 40% of their insured salary for severance pay calculation multiplied by the number of years of seniority in addition to five monthly salaries. The Company recognizes this benefit liability by measuring it using an actuarial valuation method.

d) Grant due to demise - the relatives of employees who have passed away are entitled to a non-recurring grant of three monthly salaries. The cost of this benefit is only recognized in the event of the demise of an employee during service.

NOTE 20:- EMPLOYEE BENEFITS (Cont.)

d. Defined benefit plans and other long-term employee benefits (Cont.):

2. Holiday gift to retired employees:

   The Company's retired employees are entitled to receive an annual holiday gift (once a year before Passover). The Company's liabilities in respect of these costs are accrued over the employee's years of service. The Company recognizes this benefit liability by measuring it using an actuarial valuation method.

3. Liability for vacation pay:

   The long-term liability for vacation pay reflects the liability which the Company's management believes is intended to be redeemed upon employees' retirement. The outstanding liability in for vacation pay is included in current liabilities. The Company recognized a liability in respect of this benefit and measured it using an actuarial valuation method.

4. Enhanced compensation for senior employees – as per the GCA's policy, the Company's Board may pay enhanced compensation to senior employees upon retirement. Accordingly, the Company recognizes an accrual for enhanced post-retirement compensation as a long-term benefit.

e. Principal actuarial assumptions:

The principal actuarial assumptions underlying defined benefit plans and other long-term benefit liabilities as of the financial statement date are as follows:

1. The mortality rates and disability rates are based on the rates published in the Ministry of Finance's updated insurance circular.

2. The retirement age was calculated based on the Retirement Age Law at 67 years for both men and women.

3. A real salary increase rate - the salary increase rate was separately estimated based on categories of employees with similar features, in accordance with the Company's assessment and salary studies conducted. Accordingly, the salary increase rates used range between 0.21% and 4.08% based on the types of benefits and category of the employee.

4. The discount rate - the discount rate used in calculating the Company's actuarial liability (excluding the liability for holiday gifts) is determined based on the spot interest curve of the yield to maturity of CPI-linked corporate debentures.

   The discount rate of accrued holiday gifts is the rate of the yield to maturity of corporate debentures. As of the financial statement date, the discount rate was 3.38%.

NOTE 20:- EMPLOYEE BENEFITS (Cont.)

e. Principal actuarial assumptions (Cont.):

Analysis of sensitivity to principal actuarial assumptions:

	Change in actuarial assumption	Increase in assumption	Decrease in assumption
	%	U.S. dollars in millions	
Employee benefit liability	Unchanged	272	272
Discount rate	1%	246	301
Salary increase rate	1%	292	253

The calculation method used in the sensitivity analysis is based on the projected unit credit method, similarly to the calculation of the obligation for the purpose of recognition in the financial statements. The calculation reflects the financial effect on the defined benefit obligation assuming that the other variables remain constant (in reality, this assumption is often not met and there might be a correlation between the assumptions).

f. Movement in the present value of defined benefit obligation:

	Sick benefit	Retirement benefit	Holiday gifts	Disability benefit	Other long-term benefits	Total
	U.S. dollars in millions					
Balance at January 1, 2023	78	33	66	23	67	267
Current service cost	5	2	1	1	7	16
Interest cost	4	1	4	2	3	14
Total benefits paid	(6)	(2)	(4)	(2)	(7)	(21)
Actuarial gain	(3)	(1)	(2)	(1)	(3)	(10)
Settlement of pension liability in subsidiary	-	(4)	-	-	-	(4)
Business combination	-	1	-	-	3	4
Exchange rate differences	(2)	(1)	(2)	(1)	(2)	(8)
Balance at December 31, 2023	**76**	**29**	**63**	**22**	**68**	**258**
Current service cost	**5**	**2**	**1**	**1**	**7**	**16**
Interest cost	**4**	**1**	**4**	**2**	**4**	**15**
Total benefits paid	**(6)**	**(3)**	**(4)**	**(2)**	**(7)**	**(22)**
Actuarial loss (gain)	**(2)**	**-**	**(2)**	**-**	**10**	**6**
Exchange rate differences	**-**	**-**	**-**	**-**	**(1)**	**(1)**
Balance at December 31, 2024	**77**	**29**	**62**	**23**	**81**	**272**

NOTE 20:- EMPLOYEE BENEFITS (Cont.)

g. Early retirement and termination benefits:

1. The Company occasionally signs voluntary retirement agreements with employees which are binding to both parties and are subject to the approval of the Ministry of Finance's Director of Wages and the Company's Board. The Company recognizes a liability in respect of early retirement when it incurs a significant obligation without real possibility of cancellation.

2. As a rule, employees who retire early are entitled to a monthly allowance until they reach the legally mandatory retirement age or a different pensionary event, and are also entitled to other bonuses and rights.

   Employees who retire under the pension track and meet the following criteria - are at least 50 years old and have at least 10 years of seniority in the Company adding up to 65 at least - are entitled to the following benefits:

   (a) Annuity based on the number of years of seniority multiplied by 2%.
   (b) A monetary bonus of 10% of the severance pay.
   (c) Six months of adjustment and advance notice.
   (d) Release of all funds contributed to provident funds or pension fund in favor of the employee.
   (e) Retention of pension benefits consisting of holiday gifts from the date of termination.

3. In 2021, the retirement age of women in Israel was updated and is expected to gradually increase by several months each year until it reaches 65 in 2032. As of the reporting date, the Company updated its liabilities in respect of annuities of women employees who retired early.

4. The Company's liabilities for covering the costs of early retirement of employees before they reach the legally mandatory retirement age are included in the financial statements at present value.

5. The retiring employees are granted a guarantee by insurance companies or a bank for payment of the monthly pension allowance until they reach mandatory retirement age or a different pensionary event. As of the date of the financial statements, total guarantees amounted to approximately $ 15 million. As for the indemnification agreement with financial corporations, see Note 21b(4) below.

6. There are other employees who retire under a compensation track (mutual agreement). Employees who are terminated under the severance pay track will be entitled to accrued severance pay and advance notice based on seniority (ranging between 100% severance and two adjustment months and 230% severance and nine adjustment months):

   (a) The overall amount of the 6% payments contributed by the Company to the terminated employee's provident fund will be deducted from the severance pay.
   (b) Release of all funds contributed to provident funds or pension fund in favor of the employee.

NOTE 21:- LIENS, GUARANTEES, CONTINGENT LIABILITIES AND COMMITMENTS

a. Contingent liabilities:

1. Offset transactions:

   Certain countries that represent the Company's target markets practice certain offset transaction guidelines that require foreign suppliers to enter into offset transactions at different rates in each country. The offset transactions may involve the transfer of knowhow, performance contracts etc. based on the policies, restrictions and/or laws applicable in the relevant country. The offset transaction obligation is in respect of predetermined projects and is carried based on the respective project term. If the Company fails to meet this obligation, it is liable to face penalties at rates ranging between 5% and 10%.

   In the reporting year, the Company was not levied any significant penalties in connection with offset transactions. The Company estimates that as of the financial statement date it is in compliance with the principal offset transaction obligations applicable to it. The Company has guarantees totaling approximately $ 6 million provided in favor of offset transactions.

2. Pollution of ground and groundwater:

   In keeping with applicable laws and regulations, the Company may be required to take measures to rehabilitate ground and/or groundwater found to be polluted. The Company submitted to the Ministry of Environmental Protection and to the Water Authority a multiannual plan for regulating and treating polluted ground and groundwater for its entire enterprises nationwide. In accordance with the plan, the Company conducted various surveys and inquiries and found certain areas of pollution in some of its enterprises. According to the Water Authority, its monitoring of water source quality efforts detected groundwater pollution in several production and drilling facilities in the Ben-Gurion Airport area.

   The Company maintains ongoing contact with the Ministry of Environmental Protection and the Water Authority for expanding the surveys and take any necessary ground rehabilitation actions in keeping with the multiannual regulatory plan.

   The Company recognized certain provisions for the testing of ground and groundwater rehabilitation feasibility and probability and for the costs of ground and groundwater rehabilitation that can be predicted as of the financial statement date.

NOTE 21:- LIENS, GUARANTEES, CONTINGENT LIABILITIES AND COMMITMENTS (Cont.)

a. Contingent liabilities (Cont.)

3. The Mivtachim management fee claim:

In 2010, a claim was filed with the Tel-Aviv-Jaffa Labor Court by Mivtachim the Workers Social Insurance Fund Ltd. (Special Management) ("Mivtachim") against the Company and the New General Federation of Laborers in Israel - the National Association of Israel Aerospace Industries Employees Ltd. ("the Association") regarding a monetary claim of approximately NIS 30 million (estimated for fee purposes) and a claim for the provision of accounts. The claim involved funds returned to the Company for certain pension payments that had been paid by the Company to Mivtachim. The funds were deposited in an account from 1974 based on an arrangement reached between the parties.

In December 2014, the Labor Court accepted the claim and ruled that Mivtachim is entitled to receive the remaining funds in said account. The Company and the Association appealed the Court's verdict, but the appeal was denied in August 2017, ordering Mivtachim to inform the Regional Labor Court, the Company and the Association of the exact amount claimed by it.

In January 2018, Mivtachim informed the Court that the amount of the claim is estimated by it at approximately NIS 114 million, which was refuted by the Company. Following a hearing of the parties' notices, the Court ruled that its decision will be issued in writing.

In February 2022, the Regional Labor Court issued a judgment which ordered the Company to pay its debt to Mivtachim, estimated as of January 1, 2003 at approximately NIS 38 million. The debt bears interest and linkage differences from said date through the date of actual payment as per the Interest and Linkage Law of 1961 totaling approximately NIS 72 million as of the date of issuing the judgment. In March 2022, the Company and Mivtachim both filed an appeal of the judgment to the National Labor Court and the Company repaid part of the debt ruled against it.

In November 2022, the Court issued a judgment which dismissed the appeals and ordered the Company to pay Mivtachim NIS 175 thousand in court expenses. On November 29, 2022, the Company paid Mivtachim another NIS 46.8 million (including linkage differences and interest and the court expenses as above), representing the final balance for settling the claim.

NOTE 21:- LIENS, GUARANTEES, CONTINGENT LIABILITIES AND COMMITMENTS (Cont.)

a. Contingent liabilities (Cont.)

4. Motion for approval of a class action regarding parental rights:

In June 2017, a motion for approval of a class action was filed against the Company with the Tel-Aviv Regional Labor Court regarding the Company's alleged discrimination against employees who are fathers and its failure to provide them legal parental benefits as prescribed in applicable laws and particularly in Article 4 to the Employment (Equal Opportunities) Law, 1988. According to the motion, the petitioners estimated the claim amount on the date of filing the motion at about NIS 200 million. The parties are holding a mediation proceeding in the context of which they are also discussing a proposed settlement regarding the group of plaintiffs filing the motion. Negotiations are also being held between the Company and the Workers' Union for reaching a collective agreement regarding parental rights. The parties have until April 1, 2025 to update the Regional Labor Court of the outcome of their negotiations.

To the best of the Company's assessment, based on the evaluation of its external legal counsel of the motion as is, the chances of the motion for approval of a class action to be accepted, and consequently the chances of the class action to prevail are lower than the chances that the motion and class action will be dismissed.

b. Commitments:

1. Royalties to the Ministry of Defense:

The Company and a subsidiary, as any other entity which uses knowhow or equipment of the Ministry of Defense ("MOD") in the context of security exports, are committed to pay royalties to the MOD for such use. Accordingly, the Company and the subsidiary have entered into an indefinite agreement with the MOD according to which the companies pay royalties at a uniform rate of 1.1% on the receipts from security exports, net of certain expenditures, as detailed in the agreement. The royalties are calculated on the security exports (and their components), including exports whose manufacture did not use any of the MOD's knowhow or equipment, excluding exports which are defined in specific agreements and excluding exports whose customer or end user is the MOD.

Under certain conditions and by mutual agreement, export transactions that use the MOD's knowhow or equipment will bear additional predetermined royalties at a specific percentage.

In 2024, 2023 and 2022, the total royalties paid by the Company to the MOD in respect of the above agreement amounted to approximately $ 31 million, approximately $ 26 million and approximately $ 25 million, respectively.

NOTE 21:- LIENS, GUARANTEES, CONTINGENT LIABILITIES AND COMMITMENTS (Cont.)

b. Commitments (Cont.)

2. Compliance with financial covenants:

(a) The Company has entered into financing, credit, bank service and guarantee agreements in its operating activities with several banks and financial institutions as well as trust deed of debentures in the context of which the Company has undertaken to meet certain financial covenants.

In January 2019, the Company signed agreements with the lending banks and financial institutions for updating the financial covenants, which became effective from the financial statements for 2018. The Company simultaneously signed a mutual support agreement with its subsidiary, ELTA, as detailed in Note 5e to the Company's separate financial information.

The updated financial covenants are as follows:

Financial covenants	**Financial covenants towards banks and financial institutions** (1) The amount of the Company's tangible equity at the end of each quarter shall not be lower than $ 600 million as disclosed in its consolidated financial statements. Notwithstanding the aforesaid, tangible equity that is lower than $ 600 million but not lower than $ 550 million for a maximum period of four consecutive quarters will not be viewed as violation of this financial covenant; (2) The ratio of the Company's tangible equity to total adjusted balance sheet at the end of each quarter shall not be lower than 16% as disclosed in its consolidated financial statements; (3) The Company's debt coverage ratio as disclosed in its consolidated financial statements and in the Company's and ELTA's (solo) obligo reports at the end of each calendar year will not exceed 7.3; (4) The Company's consolidated debt service ratio at the end of each calendar year will not be lower than 5.
The date of the lender's verification of the compliance with the financial covenants	Financial covenants (1) and (2) above - once a quarter; financial covenants (3) and (4) - at the end of each calendar year.
The results of the calculation of financial covenants at December 31, 2024	(1) Tangible equity - $ 1,801 million. (2) Ratio of tangible equity to total (solo) adjusted balance sheet - 28%. (3) Debt coverage ratio – (3.9). (4) Debt service ratio – in compliance (the ratio is negative since finance income exceeds finance expenses). As discussed above, as of December 31, 2024, the Company is in compliance with all the above financial covenants.

NOTE 21:- LIENS, GUARANTEES, CONTINGENT LIABILITIES AND COMMITMENTS (Cont.)

b. Commitments (Cont.)

2. Compliance with financial covenants (Cont.):

(a) (Cont.):

Collaterals	An undertaking not to create liens without the banks' advance written consent, excluding liens to secure specific credit for financing the acquisition of a specific asset/project; not to sell or transfer (other than sales in the ordinary course of business) a material asset [1] of its assets and/or part thereof without the banks' advance written consent.
Grounds for early repayment	In any event where the Company fails to meet the financial covenants or violates any of its liabilities, each of the banks may demand the immediate repayment of all or part of the Company's debts and liabilities towards it (subject to providing early notice as determined in the agreement), and collect them with any additional amount that it believes will cover the losses and/or expenses incurred to the bank for placing the debt for immediate repayment. Moreover, in the occurrence of any of the following events, each of the banks may demand the immediate repayment of the Company's debts towards it: (i) in the context of the legal adoption of a decision for the privatization of the State's interests in the Company and the transfer of the control of the Company to a third party which results in a deviation by any of the banks from the limitations regarding a single borrower/a group of borrowers or any other related limitation; (ii) after the transfer of control as discussed in (i) above, any of the banks decides at its exclusive discretion that another change in control of the Company as opposed to the status on the date of transfer of control from the State (control as defined in the Securities Law) has taken place; (iii) if the mutual support agreement signed between the Company and ELTA is cancelled without the banks' consent.

[1] "**Material asset**" - a single asset whose value exceeds $ 150 million or several assets which cumulatively exceed $ 300 million in a single calendar year.

NOTE 21:- LIENS, GUARANTEES, CONTINGENT LIABILITIES AND COMMITMENTS (Cont.)

b. Commitments (Cont.)

2. Compliance with financial covenants (Cont.):

(a) (Cont.):

Financial covenants	**Financial covenants to holders of debentures (series D)** (1) The ratio of the Company's tangible equity to total adjusted balance sheet at the end of each calendar quarter shall not be lower than 20%, as disclosed in the Company's stand-alone (solo) financial statements. (2) The ratio of the Company's net financial debt to annual EBITDA at the end of each calendar quarter shall not exceed 4, as disclosed in the Company's consolidated financial statements. It should be noted that according to the trust deed of the debentures (series D), noncompliance with any of the above financial covenants for a period exceeding two consecutive quarters is ground for placing the debentures (series D) for immediate repayment.
The date of the lender's verification of the compliance with the financial covenants	Once a quarter.
The results of the calculation of financial covenants at December 31, 2024	(1) The ratio of tangible equity to total adjusted balance sheet on a stand-alone basis - 34%. (2) The ratio of net financial debt to EBITDA – (5.0). As discussed above, as of December 31, 2024, the Company is in compliance with all the above financial covenants.
Collaterals	As long as the debentures are not repaid in full, the Company will not create any liens on the assets owned by the Company and/or part thereof to secure any debts or liabilities in addition to the existing liens on the date of issuance of the debentures unless with the advance consent of the holders of the debentures by a special decision. Notwithstanding the aforesaid, the Company may record liens or conduct actions as agreed between the parties in the deeds of trust of the debentures, including: a lien in favor of the State of Israel; a lien for securing specific credit for the acquisition of a specific asset/company or for financing a project; a lien on deposits, cash, cash equivalents; and changes or amendments to existing liens.
Grounds for early repayment	The debentures will be placed for immediate repayment under the circumstances specified in the deeds of trust, including, among others, in the event that the series of debentures issued to the public by the Company is placed for immediate repayment; or if any other debt assumed by the Company from a bank or financial institution (including Government institution) is placed for immediate repayment (excluding a non-recourse debt of the Company) at a scope that exceeds $ 150 million.

NOTE 21:- LIENS, GUARANTEES, CONTINGENT LIABILITIES AND COMMITMENTS (Cont.)

b. Commitments (Cont.)

2. Compliance with financial covenants (Cont.):

(b) Definitions of main terms relating to the financial covenants towards banks and financial institutions

"**Tangible equity**" - equity attributable to equity holders of the parent (excluding non-controlling interests) as disclosed in the financial statements, including outstanding share capital, undistributed retained earnings and reserves and less intangible assets such as goodwill, patents, trademarks, trade names, copyright etc. (but excluding pre-manufacturing development stage intangible assets such as computer software and excluding goodwill created in the acquisition of a certain company) and less goodwill created from the fair value remeasurement of equity rights in an acquired investee prior to obtaining control. For the removal of doubt, the definition of equity does not include revaluation reserve in respect of property, plant and equipment created from the adoption of a revaluation model in the period succeeding the establishment of the financial covenants.

"**Debt service operating income**" (EBITDA) - the cumulative amount of earnings from operations according to the latest annual financial statements before finance expenses, finance income, taxes and with the addition of depreciation and amortization expenses in the period (except depreciation of costs of obtaining contracts), employee retirement expenses and other expenses and less other income. For the removal of doubt, the definition and calculation of EBITDA will not include the items of revaluation gains/losses of investment property and capital gains/losses as detailed below.

"**Debt coverage ratio**" - the result of dividing total debts and liabilities (les cash) by the debt service operating income (EBITDA).

"**Debt service ratio**" - the result of dividing the debt service operating income (EBITDA) by the amount of interest expenses, bank commissions and interest income.

"**Consolidated debt service ratio**" - debt service ratio whose components are defined or calculated according to the Company's consolidated financial statements and the Company's and ELTA's (solo) stand-alone obligo reports.

"**Adjusted balance sheet**" - balance sheet less the lower of total cash or total payables for work in progress.

NOTE 21:- LIENS, GUARANTEES, CONTINGENT LIABILITIES AND COMMITMENTS (Cont.)

b. Commitments (Cont.)

2. Compliance with financial covenants (Cont.):

(c) Definitions of main terms relating to the financial covenants towards holders of debentures

"**Tangible equity**" - equity attributable to equity holders of the Company (excluding non-controlling interests) as disclosed in the financial statements, including outstanding share capital, undistributed retained earnings and reserves and less intangible assets such as goodwill, patents, trademarks, trade names, copyright etc. (but excluding pre-manufacturing development stage intangible assets such as computer software and excluding goodwill created in the acquisition of a certain company) and less goodwill created from the fair value remeasurement of equity rights in an acquired investee prior to obtaining control. For the removal of doubt, the definition of equity does not include revaluation reserve in respect of property, plant and equipment created from the adoption of a revaluation model.

"**Adjusted balance sheet**" - balance sheet less the lower of total cash or total payables for work in progress.

"**Balance sheet**" and "**payables for work in progress**" - as defined and stated in the financial statements.

"**The Company's net financial debt**" - the cumulative amount of the following balance sheet items: short-term credit from banks and other credit providers, debentures and long-term loans from banks and other credit providers less cash, all as disclosed in the Company's consolidated financial statements for the end of the relevant period.

"**Annual EBITDA**" - relating to the period of 12 months preceding the date of the Company's latest financial statements - the cumulative amount of operating income before finance expenses, finance income and taxes with the addition of depreciation and amortization expenses in the period, with the addition of employee retirement expenses, with the addition of other expenses and less other income.

3. As of December 31, 2024, the Company's overall obligo scope (mainly guarantees) in banks and other financial institutions approximates $ 2,390 million.

NOTE 21:- LIENS, GUARANTEES, CONTINGENT LIABILITIES AND COMMITMENTS (Cont.)

b. Commitments (Cont.)

4. The Company has signed indemnification agreements with two insurance companies and a bank (collectively - "the financial corporations") according to which the financial corporations undertook that, subject to the provisions of the agreements, they will provide guarantees in various amounts from time to time to secure the repayment of amounts payable to the Company's employees for monthly pension allowances based on the early retirement plan implemented in the Company, see details in Note 20g(5) above. According to the indemnification agreements, the Company has undertaken to indemnify the financial corporations, subject to the provisions of the agreements, in respect of any payment, damage and expense incurred to them due to or in connection with guarantees issued by them as discussed above. As of December 31, 2024, the balance of said guarantees from the financial corporations approximates $ 15 million. The Company has undertaken towards the financial corporations that throughout the period of the agreements, it will comply with the financial covenants to financial institutions as detailed in paragraph 2 above and will not create any lien on its assets (excluding a fixed lien to secure specific credit for financing the acquisition of a certain asset or for financing a certain project) and will not transfer them not in the ordinary course of business without the financial corporations' advance written consent.

5. The Company does not pay lease fees for certain real estate properties provided for its disposal by the Israel Land Administration and the MOD. Based on the opinion of legal counsel, the Company included adequate provisions to cover the potential exposure in respect of the above nonpayment. See additional information on the Company's real estate in Note 12c.

c. Guarantees provided to customers:

As of December 31, 2024, financial corporations (mainly banks) provided guarantees to customers totaling approximately $ 2,151 million to secure various liabilities of the Company to customers.

d. Collaterals and pledges:

The Company has undertaken towards various lenders not to create additional pledges (negative pledges) on its property and assets without obtaining advance written consent, except in certain predetermined cases.

NOTE 22:- FINANCIAL INSTRUMENTS

a. Measurement of fair value of financial instruments:

Cash and cash equivalents Short-term trade and other receivables Short-term trade and other payables	Due to their nature, fair value approximates the carrying amount
Traded assets and liabilities	Based on quoted market price in an active market on the report date
Derivative financial instruments	When derivatives are not traded in an active market, fair value is measured using a model that takes into consideration inputs such as market risks, credit risks etc.

b. Inputs of fair value hierarchy of financial instruments measured at fair value and recognized in the statement of financial position:

	December 31, 2024			
	Level 1	Level 2	Level 3	Total
	U.S. dollars in millions			
Financial assets:				
Financial assets at FVPL:				
Marketable securities	362	-	-	362
Contingent consideration	-	-	4	4
Financial derivatives not designated as hedging instruments	-	1	-	1
Financial assets at FVOCI:				
Financial derivatives designated as hedging instruments	-	38	-	38
	362	**39**	**4**	**405**
Financial liabilities:				
Financial liabilities at FVPL:				
Financial derivatives not designated as hedging instruments	-	1	-	1
Financial liabilities at FVOCI:				
Financial derivatives designated as hedging instruments	-	5	-	5
	-	**6**	**-**	**6**

NOTE 22:- FINANCIAL INSTRUMENTS (Cont.)

b. Inputs of fair value hierarchy of financial instruments measured at fair value and recognized in the statement of financial position (Cont.):

	December 31, 2023			
	Level 1	Level 2	Level 3	Total
	U.S. dollars in millions			
Financial assets:				
Financial assets at FVPL:				
Marketable securities	107	-	-	107
Contingent consideration	-	-	3	3
Financial assets at FVOCI:				
Financial derivatives designated as hedging instruments	-	27	-	27
	107	27	3	137
Financial liabilities:				
Financial liabilities at FVPL:				
Financial derivatives not designated as hedging instruments	-	1	-	1
Financial liabilities at FVOCI:				
Financial derivatives designated as hedging instruments	-	31	-	31
	-	32	-	32

c. Data of the fair value and carrying amount of financial liabilities:

	December 31, 2024		December 31, 2023	
	Fair value, Level 1	Carrying amount including interest	Fair value, Level 1	Carrying amount including interest
	U.S. dollars in millions			
Financial liabilities (excluding swaps):				
Marketable debentures (series D)	**43**	**43**	43	43

NOTE 22:- FINANCIAL INSTRUMENTS (Cont.)

d. Risk management policy:

The Company's activities expose it to various financial risks such as foreign currency risk, interest risk, price risk, credit risk and liquidity risk. The Company's comprehensive risk management policy focuses on activities that reduce to a minimum any possible adverse effects on the Company's financial performance. Among others, the Company utilizes derivative financial instruments in order to hedge certain exposures to risks.

The Company's Board has established a policy (in the context of the Company's procedures) for using financial instruments in order to protect the Company against fluctuations in foreign currency exchange rates and secure the Company's cash flow. The use of financial instruments is only allowed through banks.

1. Exchange rate risk:

Since the Company's functional currency is the U.S. dollar, the Company has currency exposure that arises mainly from payments in currencies that are not in U.S. dollars (mainly payroll expenses), from excess non-dollar or dollar-linked assets or liabilities and from engagements in non-dollar currencies.

A change in the dollar exchange rate in relation to the NIS is liable to affect operating results given that although the majority of revenues are generated in foreign currency (mainly in dollars), some of the expenses (mainly salary expenses) are incurred in NIS. The Company hedges future payroll expenses through forwards and/or dollar NIS put/call options. To hedge the balance sheet exposure, the Company holds part of the cash equivalents and short-term investments in NIS also against NIS liabilities.

The various foreign currency exchange rates in relation to the dollar may also affect operating results. In the event of exposure to a contract with a customer that exceeds $ 3 million resulting from engagement in non-dollar foreign currencies, the Company enters into project hedges (internal or external at its discretion) on the exchange rates in relation to the dollar using forwards or foreign currency options.

As of December 31, 2024, the Company has currency hedges ranging between NIS 3.70 and NIS 3.75 for 2025. See more details in paragraph e below.

NOTE 22:- FINANCIAL INSTRUMENTS (Cont.)

d. Risk management policy (Cont.):

2. Price risk:

The Company has exposure to risks arising from changes in quoted market prices of securities held by it. As of December 31, 2024, the Company has a marketable securities portfolio that is mainly comprised of investment in debentures and mutual funds. See also paragraph 4(c) below.

3. Interest rate risk:

The Company's policy is to manage the finance costs attributable to interest by using a mix between variable interest and fixed interest on the Company's financial liabilities.

In addition, the Company is exposed to interest rate risk in respect of short-term and long-term financial investments that bear fixed interest rates and is consequently also exposed to changes in interest rates and to the increase in yields on debentures.

Most of the Company's monetary balances are invested for the short term and consequently, the Company is able to minimize the risk arising from changes in interest rates and yields.

4. Credit risks:

a) Cash and short-term investments:

The Company holds cash and cash equivalents and short-term deposits in Israeli banks which are financial institutions with high credit ratings.

b) Customers and contract assets:

The Company mainly performs military and civilian product development and manufacturing projects for various customers, some of which leading local aviation companies and aircraft manufacturers and some of which government offices of various countries around the world which finance the transactions through government budgets. Some of the foreign customers' debts are secured by credit insurance. The Company has foreign trade insurance policies for several projects. The Company performs ongoing customer credit evaluations while examining the customers' financial condition. The Company records an allowance for doubtful accounts specifically for debts whose collection is doubtful according to the Company's management. In view of the nature of these operations, the Company provides the Board periodic reports of the status of customer debts and the allowance for doubtful accounts. The Company also recognizes a general allowance for expected credit losses that result from all possible default events pursuant to the guidance of IFRS 9.

NOTE 22:- FINANCIAL INSTRUMENTS (Cont.)

d. Risk management policy (Cont.):

4. Credit risks (Cont.):

Table of aging of customer debts as of December 31, 2024

	Customer debt in the Company's credit facility	Debt in arrears of up to 60 days from maturity date	Debt in arrears of 61-120 days from maturity date	Debt in arrears of over 120 days from maturity date	Total
	U.S. dollars in millions				
Material customer A	21	18	24	75	138
Related parties	368	183	72	122	745
Others	150	67	124	63	404
Balance of trade receivables as of December 31, 2024	**539**	**268**	**220**	**260**	**1,287**
Less - allowance for doubtful accounts	-	-	-	(16)	(16)
Net balance as of December 31, 2024	**539**	**268**	**220**	**244**	**1,271**

Table of aging of customer debts as of December 31, 2023

	Customer debt in the Company's credit facility	Debt in arrears of up to 60 days from maturity date	Debt in arrears of 61-120 days from maturity date	Debt in arrears of over 120 days from maturity date	Total
	U.S. dollars in millions				
Material customer A	49	17	24	84	174
Related parties	304	98	57	121	580
Others	203	158	107	97	565
Balance of trade receivables as of December 31, 2023	556	273	188	302	1,319
Less - allowance for doubtful accounts	-	-	-	(32)	(32)
Net balance as of December 31, 2023	556	273	188	270	1,287

NOTE 22:- FINANCIAL INSTRUMENTS (Cont.)

d. Risk management policy (Cont.):

4. Credit risks (Cont.):

c) Investment in debentures:

The Company maintains low exposure to credit risk in connection with its investments in corporate debentures and Government bonds by investing in debentures and bonds with an international rating of BBB- and above (or a corresponding local rating) in keeping with the Board's policy.

Maximum exposure in respect of credit risk:

	Carrying amount	
	2024	2023
	U.S. dollars in millions	
Cash and cash equivalents	**541**	865
Financial assets:		
Deposits	**2,990**	546
Financial derivatives	**39**	27
Investments in corporate debentures and Government bonds:		
Rated AAA	**57**	43
Rated AA+	**67**	4
Rated AA	**32**	27
Rated AA-	**44**	16
Rated A+	**28**	2
Rated A	**30**	3
Rated A-	**38**	3
Rated BBB+	**22**	2
Rated BBB	**23**	-
Rated BBB-	**8**	-
Mutual funds	**13**	7
Total investments in marketable securities	**362**	107
Total financial assets	**3,391**	680
Trade receivables	**1,271**	1,287
Loans to related parties	**38**	47
Total maximum exposure in respect of credit	**5,241**	2,879

NOTE 22:- FINANCIAL INSTRUMENTS (Cont.)

d. Risk management policy (Cont.):

5. Liquidity risk:

a) Liquidity risks arise from the Company's working capital management and from finance expense and repayment of principal on the Company's debt instruments. Liquidity risk consists of the risk that the Company will find it difficult or will be unable to meet obligations relating to financial liabilities. The Company's policy is to secure that the cash held by the Company will always suffice for repaying its liabilities when they mature. For this purpose, the Company strives to hold cash balances (or adequate credit lines) that will allow it to meet expected undertakings for a period of at least 90 days. The Company's policy is that the cash balances (including deposits and investments in marketable securities) will be at least $ 800 million and any deviation will be brought to the Board's attention. As of the date of the financial statements, it is likely that the Company has sufficient liquid sources for meeting all its liabilities.

b) For details of financial covenants, see Note 21b(2) above.

NOTE 22:- FINANCIAL INSTRUMENTS (Cont.)

d. Risk management policy (Cont.):

5. Liquidity risk (Cont.):

c) Following is a disclosure of cash flows from financing activities arising from the Company's liabilities:

	Lease liabilities	Dividend payable	Short-term loans and borrowings	Debentures	Total
	U.S. dollars in millions				
Balance as of January 1, 2023	57	186	91	44	378
Changes arising from cash flows from financing activities in 2023:					
Proceeds from sale of swap	-	-	-	(4)	(4)
Loans and short-term borrowings, net	-	-	24	-	24
Repayment of lease liability	(20)	-	-	-	(20)
Total	(20)	-	24	(4)	-
Other comprehensive income	-	-	-	4	4
Dividend declared	-	104	-	-	104
New lease contracts signed	47	-	-	-	47
Exchange rate differences	(2)	(6)	-	(1)	(9)
Balance as of December 31, 2023	**82**	**284**	**115**	**43**	**524**
Changes arising from cash flows from financing activities in 2024:					
Loans and short-term borrowings, net	**-**	**-**	**(32)**	**-**	**(32)**
Repayment of lease liability	**(34)**	**-**	**-**	**-**	**(34)**
Total	**(34)**	**-**	**(32)**	**-**	**(66)**
Other comprehensive income	**-**	**-**	**-**	**-**	**-**
Dividend declared	**-**	**155**	**-**	**-**	**155**
New lease contracts signed	**52**	**-**	**-**	**-**	**52**
Exchange rate differences	**-**	**(1)**	**-**	**-**	**(1)**
Balance as of December 31, 2024	**100**	**438**	**83**	**43**	**664**

NOTE 22:- FINANCIAL INSTRUMENTS (Cont.)

d. Risk management policy (Cont.):

5. Liquidity risk (Cont.):

d) Following is the analysis of contractual maturity dates of financial liabilities:

December 31, 2024

	Within 30 days	1-12 months	1-3 years	4-5 years	Over 6 years	Total
	U.S. dollars in millions					
Non-derivative						
Trade payables	**341**	**683**	**212**	**-**	**-**	**1,236**
Other accounts payable	**145**	**164**	**239**	**-**	**-**	**548**
Provisions	**-**	**44**	**330**	**-**	**-**	**374**
Bank loans and current maturities of debentures	**-**	**125**	**1**	**-**	**-**	**126**
Long-term financial liabilities	**-**	**-**	**-**	**91**	**80**	**171**
Derivatives						
Forwards and options	**1**	**4**	**-**	**1**	**-**	**6**
Total	**487**	**1,020**	**782**	**92**	**80**	**2,461**

December 31, 2023

	Within 30 days	1-12 months	1-3 years	4-5 years	Over 6 years	Total
	U.S. dollars in millions					
Non-derivative						
Trade payables	352	546	210	-	-	1,108
Other accounts payable	158	215	173	-	-	546
Provisions	-	22	354	-	-	376
Bank loans and current maturities of debentures	-	158	-	-	-	158
Long-term financial liabilities	-	-	-	27	16	43
Derivatives						
Forwards and options	5	22	5	-	-	32
Total	515	963	742	27	16	2,263

NOTE 22:- FINANCIAL INSTRUMENTS (Cont.)

e. Hedging activity:

As of the financial statement date, the Company has entered into forward and option contracts that are intended to hedge and minimize the exposure of customer receipts to price fluctuations in transactions denominated in foreign currencies other than the dollar. As of the balance sheet date, the Company has entered into the following commitments:

1. Economic (non-accounting) hedging activity:

Type of hedge	Nature of hedged item	Hedge details	Hedged rates	Maturity dates	Amount of hedge U.S. dollars	Fair value of hedge in thousands
Forward	Trade payables/ receivables	EUR/USD	1.1-1.13	03/2024-01/2025	93	Negligible
Forward	Trade payables/ receivables	USD/ILS	3.63-3.65	01/2025	90	Negligible
Put options	Payroll	ILS	3.7	06/2025	18	Negligible
Call options	Payroll	USD	3.8	06/2025	18	Negligible

2. Accounting hedging activity:

Type of hedge	Nature of hedged item	Hedge details	Hedged rates	Maturity dates	Amount of hedge U.S. dollars	Fair value of hedge in thousands
Forward	Payroll	USD/ILS	3.6-3.9	01/2025 - 06/2026	578	14
Forward	Trade receivables	EUR/USD	1.0-1.2	01/2025 - 08/2029	840	13
Forward	Trade receivables	USD/CZK	23.3-23.7	04/2025 - 06/2026	538	Negligible
Forward	Trade payables	EUR/USD	1.04-1.05	02/2024 - 12/2024	25	Negligible
Put options	Payroll	ILS	3.0-3.8	01/2025 - 09/2025	608	8
Call options	Payroll	USD	3.7-3.9	01/2025 - 09/2025	578	(2)

The balance of the capital reserve from the net cash flow hedges of exchange rate fluctuations in respect of net salary payments, customer receipts and supplier payments as of the financial statement date is a credit balance of approximately $ 31 million. The balance of the capital reserve from the cost of the net cash flow hedges of exchange rate fluctuations in respect of salary payments and customer receipts as of the financial statement date is a credit balance of approximately $ 1 million. In 2024, a negligible amount was reclassified from the reserve for the cost of the hedge to profit or loss.

NOTE 22:- FINANCIAL INSTRUMENTS (Cont.)

f. Linkage bases report as of December 31, 2024:

	In or linked to dollar	In CPI-linked NIS	In or linked to Euro	In or linked to other currencies	In unlinked NIS	Non-monetary	Total
	U.S. dollars in millions						
Cash and cash equivalents	**355**	**-**	**15**	**14**	**157**	**-**	**541**
Short-term financial assets	**3,289**	**-**	**-**	**-**	**102**	**-**	**3,391**
Trade receivables	**454**	**-**	**11**	**-**	**806**	**-**	**1,271**
Contract assets, net	**1,073**	**-**	**-**	**-**	**291**	**-**	**1,364**
Other accounts receivable	**105**	**-**	**3**	**-**	**7**	**606**	**721**
Inventories	**-**	**-**	**-**	**-**	**-**	**1,032**	**1,032**
Long-term receivables	**-**	**-**	**-**	**-**	**-**	**75**	**75**
Investments in associates and joint ventures	**-**	**-**	**-**	**-**	**-**	**131**	**131**
Property, plant and equipment	**-**	**-**	**-**	**-**	**-**	**1,502**	**1,502**
Intangible assets	**-**	**-**	**-**	**-**	**-**	**368**	**368**
Total assets	**5,276**	**-**	**29**	**14**	**1,363**	**3,714**	**10,396**
Loans from banks and current maturities of debentures	**72**	**-**	**-**	**-**	**54**	**-**	**126**
Short-term financial liabilities	**6**	**-**	**-**	**-**	**-**	**-**	**6**
Trade payables	**889**	**-**	**34**	**7**	**306**	**-**	**1,236**
Other accounts payable	**209**	**12**	**3**	**-**	**324**	**-**	**548**
Provisions	**325**	**-**	**9**	**-**	**40**	**-**	**374**
Dividend payable	**259**	**-**	**-**	**-**	**179**	**-**	**438**
Contract liabilities, net	**9**	**-**	**-**	**-**	**19**	**5,337**	**5,365**
Other long-term liabilities	**92**	**-**	**-**	**-**	**14**	**65**	**171**
Employee benefits	**1**	**5**	**2**	**-**	**254**	**-**	**262**
Total liabilities	**1,862**	**17**	**48**	**7**	**1,190**	**5,402**	**8,526**
Net balance sheet balance	**3,414**	**(17)**	**(19)**	**7**	**173**	**(1,688)**	**1,870**

NOTE 22:- FINANCIAL INSTRUMENTS (Cont.)

Linkage bases report as of December 31, 2023:

	In or linked to dollar	In CPI-linked NIS	In or linked to Euro	In or linked to other currencies	In unlinked NIS	Non-monetary	Total
	U.S. dollars in millions						
Cash and cash equivalents	467	-	60	27	311	-	865
Short-term financial assets	565	-	-	1	114	-	680
Trade receivables	479	-	46	6	756	-	1,287
Contract assets, net	991	-	7	28	394	-	1,420
Other accounts receivable	74	23	6	-	5	485	593
Inventories	-	-	-	-	-	965	965
Long-term receivables	-	-	-	-	-	32	32
Investments in associates and joint ventures	-	-	-	-	-	111	111
Property, plant and equipment	-	-	-	-	-	1,449	1,449
Intangible assets	-	-	-	-	-	325	325
Total assets	2,576	23	119	62	1,580	3,367	7,727
Loans from banks and current maturities of debentures	53	-	-	-	105	-	158
Short-term financial liabilities	32	-	-	-	-	-	32
Trade payables	811	-	39	6	252	-	1,108
Other accounts payable	189	14	18	3	322	-	546
Provisions	341	-	5	-	30	-	376
Dividend payable	104	-	-	-	180	-	284
Contract liabilities, net	46	-	-	-	2	3,386	3,434
Other long-term liabilities	27	-	-	-	14	2	43
Employee benefits	-	9	2	-	240	-	251
Total liabilities	1,603	23	64	9	1,145	3,388	6,232
Net balance sheet balance	973	-	55	53	435	(21)	1,495

NOTE 23:- EQUITY

a. Composition of share capital as of December 31, 2024 and 2023:

	Authorized	Issued and outstanding
	Number of shares	
Ordinary shares of NIS 1 par value each	2,600,000,001	2,559,514,386

b. Dividend distribution policy:

As of the report date, the GCA's policy is that 50% of current net income attributable to equity holders of the Company is distributed as a dividend.

c. Dividend declaration and payment:

1. On June 10, 2024, the Company's Board declared the distribution of a dividend of approximately $ 155 million. The payment of the dividend is contingent on the approvals of the Israeli Government Companies Authority ("the GCA") and the General Meeting. As of the date of the financial statements, the GCA's approval for the distribution has been received but the General Meeting's approval has yet to be received.

2. On May 17, 2023, the Company's Board declared the distribution of a dividend of approximately $ 104 million. The payment of the dividend is contingent on the approvals of the GCA and General Meeting which have yet to be obtained as of the end of the reporting period.

3. In July 2022, the Company's Board declared the distribution of a dividend of approximately NIS 571 million in addition to the dividend of approximately NIS 24 million that had been declared in 2019 (but not yet distributed) and is currently valued at approximately NIS 84 million. The outstanding dividend payable to the State in view of the dividend declaration approximates NIS 655 million. The actual payment of the dividend is contingent on the approvals of the GCA and the General Meeting which have not yet been obtained as of the end of the reporting period.

4. In 2022-2024, none of the dividends declared in those years were actually paid.

NOTE 24:- SALES

	Year ended December 31, 2024					
	Aviation Group	Military Aircraft Group	Systems Missile & Space Group	ELTA	Other	Total
	U.S. dollars in millions					
Export/local market:						
Export	**1,136**	**414**	**1,573**	**905**	**1**	**4,029**
Local market	**199**	**230**	**1,079**	**574**	**1**	**2,083**
Total	**1,335**	**644**	**2,652**	**1,479**	**2**	**6,112**
Military/commercial:						
Military	**471**	**639**	**2,635**	**1,464**	**-**	**5,209**
Commercial	**864**	**5**	**17**	**15**	**2**	**903**
Total	**1,335**	**644**	**2,652**	**1,479**	**2**	**6,112**
Timing of revenue recognition:						
Revenue recognized over time	**1,006**	**608**	**2,446**	**1,296**	**2**	**5,358**
Revenue recognized at a point in time	**329**	**36**	**206**	**183**	**-**	**754**
Total	**1,335**	**644**	**2,652**	**1,479**	**2**	**6,112**
Principal customers:						
Related parties (*)	**156**	**209**	**984**	**422**	**-**	**1,771**
Material customer A	**30**	**85**	**492**	**263**	**-**	**870**
Other customers	**1,149**	**350**	**1,176**	**794**	**2**	**3,471**
Total	**1,335**	**644**	**2,652**	**1,479**	**2**	**6,112**

(*) See more information in Note 34 on interested party transactions.

NOTE 24:- SALES (Cont.)

	Year ended December 31, 2023					
	Aviation Group	Military Aircraft Group	Systems Missile & Space Group	ELTA	Other	Total
	U.S. dollars in millions					
Export/local market:						
Export	1,164	450	1,341	837	-	3,792
Local market	110	149	856	420	-	1,535
Total	1,274	599	2,197	1,257	-	5,327
Military/commercial:						
Military	342	594	2,179	1,227	-	4,342
Commercial	932	5	18	30	-	985
Total	1,274	599	2,197	1,257	-	5,327
Timing of revenue recognition:						
Revenue recognized over time	944	566	2,035	1,108	-	4,653
Revenue recognized at a point in time	330	33	162	149	-	674
Total	1,274	599	2,197	1,257	-	5,327
Principal customers:						
Related parties (*)	66	135	782	268	-	1,251
Material customer A	27	94	630	202	-	953
Other customers	1,181	370	785	787	-	3,123
Total	1,274	599	2,197	1,257	-	5,327

(*) See more information in Note 34 on interested party transactions.

NOTE 24:- SALES (Cont.)

	Year ended December 31, 2022					
	Aviation Group	Military Aircraft Group	Systems Missile & Space Group	ELTA	Other	Total
	U.S. dollars in millions					
Export/local market:						
Export	1,180	416	1,136	875	-	3,607
Local market	120	127	791	328	-	1,366
Total	1,300	543	1,927	1,203	-	4,973
Military/commercial:						
Military	370	512	1,690	1,115	-	3,687
Commercial	930	31	237	88	-	1,286
Total	1,300	543	1,927	1,203	-	4,973
Timing of revenue recognition:						
Revenue recognized over time	738	490	1,593	967	-	3,788
Revenue recognized at a point in time	562	53	334	236	-	1,185
Total	1,300	543	1,927	1,203	-	4,973
Principal customers:						
Related parties (*)	95	81	731	191	-	1,098
Material customer A	20	201	680	296	-	1,197
Other customers	1,185	261	516	716	-	2,678
Total	1,300	543	1,927	1,203	-	4,973

(*) See more information in Note 34 on interested party transactions.

NOTE 25:- COST OF SALES

Composition:

	Year ended December 31,		
	2024	**2023**	**2022**
	U.S. dollars in millions		
Salaries and related expenses	**1,692**	1,708	1,636
Materials	**358**	427	372
Subcontractors	**2,489**	1,972	1,743
Depreciation and amortization	**272**	259	220
Other manufacturing costs	**347**	203	323
	5,158	4,569	4,294
Add (Less):			
In-house manufacturing of property, plant and equipment and development of intangible assets	**(117)**	(139)	(188)
Changes in inventory of WIP	**(70)**	(70)	43
Total	**4,971**	4,360	4,149

NOTE 26:- RESEARCH AND DEVELOPMENT EXPENSES

Composition:

	Year ended December 31,		
	2024	**2023**	**2022**
	U.S. dollars in millions		
Salaries and related expenses	**172**	148	127
Depreciation and amortization	**10**	13	9
Subcontractors	**109**	88	62
Other	**50**	31	24
Grants and participations	**(8)**	(5)	(7)
Total	**333**	275	215

NOTE 27:- SELLING AND MARKETING EXPENSES

Composition:

	Year ended December 31,		
	2024	**2023**	**2022**
	U.S. dollars in millions		
Salaries and related expenses	**21**	19	17
Preparation of quotations	**63**	61	57
Travel	**11**	11	8
Other	**32**	27	25
Total	**127**	118	107

NOTE 28:- GENERAL AND ADMINISTRATIVE EXPENSES

Composition:

	Year ended December 31,		
	2024	2023	2022
	U.S. dollars in millions		
Salaries and related expenses	**154**	150	141
Depreciation	**12**	13	9
Other	**44**	36	42
Total	**210**	199	192

NOTE 29:- OTHER INCOME, NET

a. Composition:

	Year ended December 31,		
	2024	2023	2022
	U.S. dollars in millions		
Income			
Loss of control interests in business (b(1))	**26**	-	-
Third party compensation for property, plant and equipment	**11**	-	-
Gain from sale of property, plant and equipment	**7**	6	-
Issue of capital in associate (b(2))	**1**	-	11
	45	6	11
Expenses			
Impairment and other (b(3))	**(19)**	(3)	(6)
Total other income, net	**26**	3	5

b. Additional information:

1. See Note 11b(3) above.

2. See Notes 11b(2) and 11b(1), respectively.

3. Impairment of items of property, plant and equipment and investments in associates, including goodwill created in business combination.

NOTE 30:- FINANCE INCOME AND EXPENSES, NET

Composition:

	Year ended December 31,		
	2024	2023	2022
	U.S. dollars in millions		
Finance expenses			
Commissions to banks	**16**	16	19
Interest on credit	**1**	3	5
Debentures	**2**	2	3
Adjustment of financing component of provisions and payables	**18**	17	10
Hedges	**16**	-	13
Loss from marketable financial assets	**-**	-	15
Exchange rate differences	**-**	13	-
Other	**-**	2	-
Total	**53**	53	65
Finance income			
Return on deposits and marketable financial assets	**170**	62	12
Hedges	**-**	20	-
Exchange rate differences	**8**	-	17
Finance income on investment component measured at fair value in investee	**1**	-	4
Other	**3**	-	1
Total	**182**	82	34

NOTE 31:- TAXES ON INCOME

a. Composition:

	Year ended December 31,		
	2024	2023	2022
	U.S. dollars in millions		
Current tax expenses:			
In respect of the current year	**74**	65	16
Adjustments in respect of previous years, net	**4**	5	16
	78	70	32
Deferred tax expenses:			
Creation and reversal of temporary differences	**56**	23	45
	56	23	45
Total income tax expenses	**134**	93	77

b. Details of the Company's tax environment:

1. The primary statutory Israeli corporate tax rate applicable to the Group companies is 23%.

2. The Law for the Encouragement of Capital Investments, 1959 ("the Investment Encouragement Law"):

   The Investment Encouragement Law was amended in the context of the Law for Economic Policy for 2011 and 2012 (Amended Legislation), ("Amendment No. 68"), effective from January 1, 2011. Amendment No. 68 states that a wholly-owned government company is not entitled to the benefits prescribed in the Investment Encouragement Law and therefore neither the Company nor ELTA (a wholly owned subsidiary of the Company) qualify for the tax benefits following the enactment of Amendment No. 68 anymore. Prior to the enactment of Amendment No. 68, the Company was entitled to the tax benefits prescribed by the Investment Encouragement Law. The transition provisions of Amendment No. 68 stipulate that the enterprise owned by the Company in its entirety is still eligible for the tax benefits under the Law prior to its amendment until the end of the benefit period.

NOTE 31:- TAXES ON INCOME (Cont.)

b. Details of the Company's tax environment (Cont.):

3. Benefits under the Law for the Encouragement of Industry (Taxation), 1969:

   a) The Company and some of its subsidiaries have the status of industrial companies as defined in the Law for the Encouragement of Industry (Taxation), 1969 and are therefore entitled to the following main benefits:

      (1) Accelerated depreciation rates.

      (2) Possibility of filing consolidated financial statements with "single production line subsidiaries".

   b) The Company and two of its Israeli wholly owned and controlled subsidiaries file consolidated tax returns.

4. Dollar based reporting for tax purposes:

   The Company's functional currency and presentation currency is the USD (see Note 2c above). From January 1, 2018, the Company manages its accounts in foreign currency pursuant to Section 130A to the Israeli Income Tax Ordinance ("the Dollar Regulations").

   On August 29, 2019, the Company received an indefinite tax ruling allowing it to manage its accounts in foreign currency (dollars) pursuant to the Dollar Regulations. The ruling is in effect as long as the Company's functional currency, as this term is defined by generally accepted accounting principles, remains the USD.

5. Exposure to foreign tax laws:

   As an export-oriented military and civilian security defense company, the Company sells products and provides services to a variety of customers around the globe, including through long-term contracts. Accordingly, and in view of recent global trends of enhancing the taxation of foreign multinationals in the target countries, including in material customer countries, the Company may become exposed to the implications of the changing tax regimes in such target countries. The Company records provisions for expected tax payments against income tax expenses in respect of any uncertainty involving future tax treatments by the tax authorities in the target countries.

NOTE 31:- TAXES ON INCOME (Cont.)

b. Details of the Company's tax environment (Cont.):

6. Taxation of trapped earnings – temporary provision of the Economic Efficiency Law for 2021-2022:

According to the Economic Efficiency Law (Legislative Amendments to the 2021 and 2022 Budget Years), 2021 and the Temporary Provision of the Law for the Encouragement of Capital Investments, 1959, effective from 2022 and based on an allocation formula, a portion of a dividend distributed by a company will be classified as distributed from tax-exempt income and will be subject to corporate income tax of 25%. Alternatively, the above temporary provision offers a tax relief in the form of reduced final tax rate of 10% on any amount chosen by a company out of tax-exempt income subject to providing notice to the Israeli tax authorities and to remittance of the applicable tax.

The Company chose to apply the above tax relief in the temporary provision and paid final tax of approximately $ 15 million on its remaining tax-exempt income from approved enterprises (as per the Law for the Encouragement of Capital Investments, 1959) from 2007-2013. The monetary result of the payment was carried to profit or loss in 2022 under taxes on income.

c. Foreign subsidiaries:

1. The subsidiaries incorporated outside of Israel are taxed at the tax laws in their country of residence.

2. The tax rates applicable to the income of material foreign investees/partnerships of the Company which were incorporated outside of Israel:

Country of incorporation	Tax rate	Comments
United States	Federal tax - 21% State tax - average of 5%	Withholding tax rate in dividend distribution - 12.5% (subject to the terms of the US-Israel tax treaty)
India	Corporate tax - about 28% (25% corporate tax and other levies)	
Greece	22%	
Singapore	17%	Territorial tax

NOTE 31:- TAXES ON INCOME (Cont.)

c. Foreign subsidiaries (Cont.):

3. Distribution of dividends to Israel:

Section 126(c) to the Ordinance, which became effective in the context of Amendment No. 132 to the Ordinance (see above) and amended in Amendment No. 216, states that a company's taxable income from a dividend originating from income produced or generated outside of Israel or from a dividend originating outside of Israel will be subject to corporate tax. Following the enactment of Amendment No. 132 to the Ordinance, Israeli companies which receive dividends from foreign companies are entitled to tax credit on the corporate tax levied in Israel on the dividend income in the amount of the foreign tax paid on said income outside of Israel.

In connection with the taxation of dividends from foreign companies, an Israeli corporate taxpayer may choose between two options: a tax liability in Israel in respect of a foreign dividend at the corporate tax rate simultaneously with a withholding tax credit upon the distribution of the dividend in Israel and a tax liability in Israel in respect of a dividend originating overseas at the ordinary corporate tax rate in Israel on the grossed-up dividend (dividend grossed-up to include foreign taxes paid on the income from which the dividend is distributed) simultaneously with a withholding tax credit both for the withheld tax ("direct credit") and for the tax paid by the foreign company on the income from which it distributes dividends ("indirect credit"). The indirect credit will be granted for tax paid by both the direct subsidiary of the Israeli company provided that the Israeli company holds at least 25% of the means of control in the foreign subsidiary that distributes the dividend and the sub-subsidiary of the Israeli company that receives the dividend provided that the sub-subsidiary is directly held by the subsidiary at a rate of at least 50%.

4. Intercompany transactions:

As a rule, intercompany transactions conducted between the Company and subsidiaries outside of Israel are subject to the measurement and reporting provisions established in the Income Tax (Determining Market Terms) Regulations, 2006.

d. Final tax assessments:

1. Final income tax assessments:

(a) The Company and ELTA, a subsidiary in Israel, file a consolidated tax return pursuant to the provisions of the Law for the Encouragement of Industry (Taxes). These companies received final income tax assessments through the 2020 tax year. The Company has a partial tax assessment (in agreement) for the 2021 tax year.

(b) In the 2023 tax year, the Company received a partial tax assessment (in agreement) for the 2021 tax year. The implications of the tax assessment are immaterial to the Company's results.

NOTE 31:- TAXES ON INCOME (Cont.)

d. Final tax assessments (Cont.):

1. Final income tax assessments (Cont.):

   (c) In June 2022, the Company signed a tax assessment for 2017-2020 which did not have any material implications on the Company's results.

   (d) A subsidiary in the United States received final tax assessments (or tax assessments that are deemed final) through 2020.

2. Final withholding tax (WHT) and deduction assessments:

   (a) The Company and ELTA, a subsidiary in Israel, file a consolidated tax return pursuant to the provisions of the Law for the Encouragement of Industry (Taxes). These companies received final WHT assessments through the 2019 tax year.

   (b) In May 2022, the Company was issued a deduction assessment by the National Insurance Institute for 2017-2019. The monetary implications of the assessment are immaterial to the Company's results.

3. Value Added Tax (VAT) assessments:

   The Company received a final VAT assessment through December 2022 and ELTA received a final VAT assessment through February 2023.

e. Taxes on income recognized in other comprehensive income:

	Year ended December 31,		
	2024	2023	2022
	U.S. dollars in millions		
Tax benefit (expense) carried against other comprehensive income	**12**	13	(6)
Total	**12**	13	(6)

NOTE 31:- TAXES ON INCOME (Cont.)

f. Reconciliation between the theoretical tax on pre-tax income and the amount of tax benefits included:

	Year ended December 31,		
	2024	**2023**	**2022**
	U.S. dollars in millions		
Income before taxes on income	**627**	411	290
Statutory tax rate	**23%**	23%	23%
Tax computed on pre-tax income at the statutory tax rate	**144**	95	67
Increase (decrease) in theoretical tax due to the following factors:			
Offsetting earnings of investees accounted for at equity, net	**-**	(1)	(1)
Net losses (gains) in respect of which no deferred taxes were created	**(15)**	(2)	1
Taxes in respect of previous years	**4**	5	16
Nondeductible expenses, net	**7**	-	-
Differences in measurement basis and other provisions	**(6)**	(4)	(6)
Total income tax expenses	**134**	93	77

g. Carryforward tax losses:

1. According to the provisions of the Income Tax Ordinance, capital losses that are carried forward can be utilized against capital gains indefinitely. It is also possible to offset capital losses from the sale of assets outside of Israel against capital gains in Israel.

2. The Company has carryforward capital losses totaling approximately $ 1 million. A U.S. subsidiary has carryforward losses totaling approximately $ 160 million for which no deferred tax asset has been recognized as it is not expected to be utilized in the foreseeable future.

   Tax losses accumulated until the end of 2017 can be (gradually) utilized until 2037. Tax losses accumulated from 2018 can be carried forward indefinitely.

h. VAT:

The Company is registered for VAT purposes as a licensed dealer (union of dealers) with a subsidiary.

NOTE 31:- TAXES ON INCOME (Cont.)

i. Movement in deferred taxes:

	Property, plant and equipment	Employee benefits	Cash flow hedges	Other	Total
	U.S. dollars in millions				
Balance at December 31, 2021	(38)	138	(6)	(14)	80
Changes in 2022					
Changes carried to profit or loss	(10)	(12)	-	(23)	(45)
Changes carried to other comprehensive income	-	(13)	19	-	6
Balance at December 31, 2022	(48)	113	13	(37)	41
Changes in 2023					
Changes arising from business combination	(1)	-	-	6	5
Changes carried to profit or loss	(5)	-	-	(18)	(23)
Changes carried to other comprehensive income	-	(1)	(12)	-	(13)
Balance at December 31, 2023	**(54)**	**112**	**1**	**(49)**	**10**
Changes in 2024					
Changes carried to profit or loss	**(7)**	**6**	**-**	**(55)**	**(56)**
Changes carried to other comprehensive income	**-**	**(1)**	**(11)**	**-**	**(12)**
Balance at December 31, 2024	**(61)**	**117**	**(10)**	**(104)**	**(58)**

The balances of deferred taxes are presented in the statement of financial position as follows:

	December 31,	
	2024	2023
	U.S. dollars in millions	
Long-term receivables	**7**	13
Other long-term liabilities	**(65)**	(3)
Net balance	**(58)**	10

NOTE 32:- OTHER COMPREHENSIVE INCOME (LOSS)

	Year ended December 31,		
	2024	2023	2022
	U.S. dollars in millions		
Foreign currency translation adjustments of foreign operation:			
Amount before taxes on income	**(1)**	1	(8)
Tax benefit (expense)	**-**	-	-
Net amount after taxes	**(1)**	1	(8)
Cash flow hedge, net:			
Amount before taxes on income	**48**	53	(82)
Tax benefit (expense)	**(11)**	(12)	19
Net amount after taxes	**37**	41	(63)
Remeasurement of defined benefit plans:			
Amount before taxes on income	**4**	6	56
Tax expense	**(1)**	(1)	(13)
Net amount after taxes	**3**	5	43
Other comprehensive income (loss) net of taxes	**39**	47	(28)
Other comprehensive loss net of taxes attributable to non-controlling interests	**-**	(1)	(6)

NOTE 33:- BUSINESS SEGMENTS

a. General:

An operating segment is a component of the Company:

1. Which is engaged in business activities from which the Company may earn revenues, incur expenses (including revenues and expenses relating to transactions with other components of the Company).

2. Whose operating results are regularly reviewed by the Company's Chief Operating Decision Maker ("CODM") to make decisions about resources to be allocated to the segment and assess its performance.

3. For which separate financial information is available.

The operating segments are determined based on the information reviewed by the CODM for the purpose of making decisions on allocating resources and assessing performances. The chief reporting format according to business segments is based on the Company's internal and administrative reporting framework.

NOTE 33:- BUSINESS SEGMENTS (Cont.)

a. General (Cont.):

Pursuant to the aforesaid, the Company operates in four principal operating segments as follows:

1. Aviation Group - mainly maintenance, renovation and upgrading of aircraft and aircraft engines, conversion of passenger aircraft to cargo configuration and refueling, development and manufacture of business jets, development and manufacture of aero-assemblies for military and commercial aircraft, and planning and development of aircraft and engineering infrastructures for the entire Company.

2. Military Aircraft Group - mainly development, manufacture and sale of unmanned air vehicles.

3. Systems Missile & Space Group - mainly development, manufacture and sale of attack and defense missile systems, satellites and various space assemblies.

4. ELTA Systems Ltd. ("ELTA") - engaged in the field of military electronics such as radar systems and electronic warfare.

In other segments, the Company also presents other activities at the Company level that serve all the operating segments, including corporate research and development expenses.

Intersegment transactions

The segment's revenues, expenses and operating results include intersegment transactions. The Company believes that these transactions are recorded at standard market prices similarly to the prices of similar product transactions with external customers. The intersegment results are eliminated when preparing the consolidated financial statements.

NOTE 33:- BUSINESS SEGMENTS (Cont.)

b. Chief reporting of business segments:

	Year ended December 31, 2024						
	Aviation Group	Military Aircraft Group	Missile & Space Systems Group	ELTA	Other	Adjustments	Total
	U.S. dollars in millions						
Segment revenues	1,335	644	2,652	1,479	2	-	6,112
Intersegment revenues	141	1	35	376	9	(562)	-
Total segment revenues	1,476	645	2,687	1,855	11	(562)	6,112
Cost of sales	1,360	514	2,201	1,475	(17)	(562)	4,971
Gross profit	116	131	486	380	28	-	1,141
Gross margin	8%	20%	18%	20%	-	-	19%
Research and development expenses	11	50	118	114	40	-	333
General and administrative, selling and marketing expenses	68	43	116	130	(20)	-	337
Other expenses (income)	-	(15)	7	(18)	-	-	(26)
Income in respect of early retirement of employees	-	-	-	-	(1)	-	(1)
	79	78	241	226	19	-	643
Operating income	37	53	245	154	9	-	498
Operating margin	3%	8%	9%	8%	-	-	8%
Finance income	-	8	110	34	30	-	182
Finance expense	(21)	-	(1)	(12)	(19)	-	(53)
Company's share of earnings (losses) of associates	6	-	(4)	(2)	-	-	-
Taxes on income	-	-	(2)	(34)	(98)	-	(134)
Net income (loss)	22	61	348	140	(78)	-	493
Net profit margin	1%	9%	13%	8%	-	-	8%
Attributable to non-controlling interests							9
Attributable to equity holders of the parent							484

NOTE 33:- BUSINESS SEGMENTS (Cont.)

b. Chief reporting of business segments (Cont.):

	Year ended December 31, 2023						
	Aviation Group	Military Aircraft Group	Systems Missile & Space Group	ELTA	Other	Adjustments	Total
	U.S. dollars in millions						
Segment revenues	1,274	599	2,197	1,257	-	-	5,327
Intersegment revenues	113	3	24	409	12	(561)	-
Total segment revenues	1,387	602	2,221	1,666	12	(561)	5,327
Cost of sales	1,261	478	1,835	1,315	32	(561)	4,360
Gross profit	126	124	386	351	(20)	-	967
Gross margin	9%	21%	17%	21%	-	-	18%
Research and development expenses	12	34	88	102	39	-	275
General and administrative, selling and marketing expenses	69	39	97	124	(12)	-	317
Other expenses (income)	(1)	(3)	-	-	1	-	(3)
Expenses in respect of early retirement of employees	-	-	-	-	2	-	2
	80	70	185	226	30	-	591
Operating income (loss)	46	54	201	125	(50)	-	376
Operating margin	3%	9%	9%	8%	-	-	7%
Finance income	-	2	33	11	36	-	82
Finance expense	(17)	-	-	(7)	(29)	-	(53)
Company's share of earnings (losses) of associates	11	-	(6)	1	-	-	6
Taxes on income	-	-	-	(27)	(66)	-	(93)
Net income (loss)	40	56	228	103	(109)	-	318
Net profit margin	3%	9%	10%	6%	-	-	6%
Attributable to non-controlling interests							9
Attributable to equity holders of the parent							309

NOTE 33:- BUSINESS SEGMENTS (Cont.)

b. Chief reporting of business segments (Cont.):

	Year ended December 31, 2022						
	Aviation Group	Military Aircraft Group	Missile & Space Systems Group	ELTA	Other	Adjustments	Total
	U.S. dollars in millions						
Segment revenues	1,300	543	1,927	1,203	-	-	4,973
Intersegment revenues	104	4	23	405	15	(551)	-
Total segment revenues	1,404	547	1,950	1,608	15	(551)	4,973
Cost of sales	1,277	431	1,650	1,342	-	(551)	4,149
Gross profit	127	116	300	266	15	-	824
Gross margin	9%	21%	15%	17%	100%	-	17%
Research and development expenses	11	29	70	72	33	-	215
General and administrative, selling and marketing expenses	73	39	84	111	(8)	-	299
Other expenses (income)	-	-	(10)	-	5	-	(5)
Income in respect of early retirement of employees	-	-	-	-	(1)	-	(1)
	84	68	144	183	29	-	508
Operating income (loss)	43	48	156	83	(14)	-	316
Operating margin	3%	9%	8%	5%	(93%)	-	6%
Finance income	-	-	19	16	(1)	-	34
Finance expense	(7)	(2)	-	(15)	(41)	-	(65)
Company's share of earnings (losses) of associates	9	-	(4)	-	-	-	5
Taxes on income	-	1	-	(22)	(56)	-	(77)
Net income (loss)	45	47	171	62	(112)	-	213
Net profit margin	3%	9%	9%	4%	(747%)	-	4%
Attributable to non-controlling interests							5
Attributable to equity holders of the parent							208

NOTE 33:- BUSINESS SEGMENTS (Cont.)

c. Secondary reporting of business segments:

	Sales in the year ended December 31, 2024					
	Aviation Group	Military Aircraft Group	Systems Missile & Space Group	ELTA	Other	Total
	U.S. dollars in millions					
Geographic distribution of revenues:						
North America	**708**	**4**	**80**	**66**	**-**	**858**
South America	**7**	**3**	**1**	**3**	**-**	**14**
Europe	**241**	**112**	**509**	**318**	**-**	**1,180**
Asia (excluding Israel)	**158**	**286**	**837**	**503**	**1**	**1,785**
Africa	**22**	**9**	**146**	**11**	**-**	**188**
Australia	**-**	**-**	**-**	**4**	**-**	**4**
Israel	**199**	**230**	**1,079**	**574**	**1**	**2,083**
Total	**1,335**	**644**	**2,652**	**1,479**	**2**	**6,112**

	Sales in the year ended December 31, 2023					
	Aviation Group	Military Aircraft Group	Systems Missile & Space Group	ELTA	Other	Total
	U.S. dollars in millions					
Geographic distribution of revenues:						
North America	826	4	69	65	-	964
South America	17	-	-	6	-	23
Europe	112	118	133	300	-	663
Asia (excluding Israel)	163	309	1,023	436	-	1,931
Africa	46	19	116	22	-	203
Australia	-	-	-	8	-	8
Israel	110	149	856	420	-	1,535
Total	1,274	599	2,197	1,257	-	5,327

	Sales in the year ended December 31, 2022					
	Aviation Group	Military Aircraft Group	Systems Missile & Space Group	ELTA	Other	Total
	U.S. dollars in millions					
Geographic distribution of revenues:						
North America	733	6	58	53	-	850
South America	28	1	-	25	-	54
Europe	276	122	57	313	-	768
Asia (excluding Israel)	113	281	971	447	-	1,812
Africa	30	6	50	26	-	112
Australia	-	-	-	11	-	11
Israel	120	127	791	328	-	1,366
Total	1,300	543	1,927	1,203	-	4,973

NOTE 34:- BALANCES AND TRANSACTIONS WITH INTERESTED AND RELATED PARTIES

a. The State of Israel is the controlling shareholder in the Company. Part of the Company's activity consists of performing contracts for government authorities, government offices and government corporations. The material business balances and results relating to these contracts are presented separately in the financial statements. These activities are carried out in the ordinary course of business and under standard commercial terms.

b. As for royalties payable to the MOD, see Note 21b(1) above.

c. As for real estate provided for the Company's use and the payment of usage fees in respect thereof, see Note 12c above.

d. As for sales to related parties, see Note 24 above. For details of a material transaction with the controlling shareholder which is accounted for as a onerous contract, see Note 17 above.

e. As for investees, see Note 11 above.

f. Balances with interested and related parties:

	December 31,	
	2024	**2023**
	U.S. dollars in millions	
Trade receivables and contract assets, net	**1,058**	968
Other accounts receivable	**159**	140
Trade payables	**90**	97
Contract liabilities, net	**850**	748
Investments in associates and joint ventures	**131**	111
The highest receivable during the year	**1,316**	1,302

NOTE 34:- BALANCES AND TRANSACTIONS WITH INTERESTED AND RELATED PARTIES (Cont.)

g. Salaries and related benefits paid to interested parties and key management personnel:

	Year ended December 31,		
	2024	2023	2022
	U.S. dollars in thousands		
Salaries and related benefits to key management personnel	**7,581**	7,545	7,006
Of which:			
Salaries and related benefits to interested parties	**701**	818	706
Fees of directors not employed in or on behalf of the Company	**110**	93	58
The number of people to whom the salaries and benefits relate:			
Interested parties employed in or on behalf of the Company	**2**	2	2
Directors not employed in the Company	**8**	5	6
Other key management personnel	**18**	17	17

h. Transactions with interested and related parties:

	Year ended December 31,		
	2024	2023	2022
	U.S. dollars in millions		
Sales	**1,770**	1,251	1,153
Cost of sales	**1,552**	1,048	1,022
Cost of acquisitions	**253**	123	108

SEPARATE FINANCIAL INFORMATION
AS OF DECEMBER 31, 2024

ISRAEL AEROSPACE INDUSTRIES LTD.

SEPARATE FINANCIAL INFORMATION

AS OF DECEMBER 31, 2024

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Special auditors' report to the Shareholders of Israel Aerospace Industries Ltd.
on the separate financial information in accordance with
Regulation 9C to the Israeli Securities Regulations (Periodic and Immediate Reports), 1970

We have audited the accompanying separate financial information presented in accordance with Regulation 9C to the Israeli Securities Regulations (Periodic and Immediate Reports), 1970 of Israel Aerospace Industries Ltd. ("the Company") as of December 31, 2024 and 2023 and for each of the three years the latest of which ended on December 31, 2024. This separate financial information is the responsibility of the Company's board of directors and management. Our responsibility is to express an opinion on this separate financial information based on our audits.

The data included in the separate financial information that relate to the balance in respect of certain investees and to the earnings in respect of certain investees are based on the financial statements audited by other auditors.

We conducted our audits in accordance with generally accepted auditing standards in Israel. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the separate financial information is free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the separate financial information. An audit also includes assessing the accounting principles used in the preparation of the separate financial information and the significant estimates made by the board of directors and management, as well as evaluating the overall separate financial information presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, based on our audits, the separate financial information is prepared, in all material respects, in conformity with Regulation 9C to the Israeli Securities Regulations (Periodic and Immediate Reports), 1970.

Tel-Aviv, Israel
March 12, 2025

BDO Ziv Haft
Certified Public Accountants

Separate Financial Information as of December 31, 2024

Statement of Financial Position

	Note	December 31, 2024	December 31, 2023
		U.S. dollars in millions	
ASSETS			
CURRENT ASSETS:			
Cash and cash equivalents	3	**217**	538
Short-term financial assets	4	**2,990**	603
Trade receivables		**951**	926
Contract assets, net		**750**	797
Other accounts receivable		**681**	604
Current accounts with investees		**5**	4
Inventories		**835**	785
Total current assets		**6,429**	4,257
NON-CURRENT ASSETS:			
Long-term receivables		**58**	19
Investments in investees	5	**652**	865
Property, plant and equipment		**1,058**	1,051
Intangible assets		**339**	295
Total non-current assets		**2,107**	2,230
Total assets		**8,536**	6,487

The notes to the separate financial information are an integral part thereof.

Separate Financial Information as of December 31, 2024

Statement of Financial Position

	December 31,	
	2024	**2023**
	U.S. dollars in millions	
LIABILITIES AND EQUITY		
CURRENT LIABILITIES:		
Current maturities of debentures	**43**	93
Short-term financial liabilities	**6**	23
Trade payables	**903**	806
Other accounts payable	**428**	419
Provisions	**225**	224
Current accounts with investees	**130**	101
Dividend payable	**438**	284
Contract liabilities, net	**4,192**	2,861
Total current liabilities	**6,365**	4,811
NON-CURRENT LIABILITIES:		
Other long-term liabilities	**168**	46
Employee benefits	**190**	184
Total non-current liabilities	**358**	230
EQUITY:		
Equity attributable to equity holders of the parent	**1,813**	1,446
Total equity	**1,813**	1,446
Total liabilities and equity	**8,536**	6,487

The notes to the separate financial information are an integral part thereof.

March 12, 2025			
Date of approval of the financial statements	Prof. Gabby Sarusi Director (*)	Boaz Levy President and CEO	Eran Anchikovsky Executive VP and CFO

(*) Authorized by the Board of Directors to sign the financial statements in the absence of permanent COB.

Separate Financial Information as of December 31, 2024

Statement of Profit or Loss

	Year ended December 31,		
	2024	**2023**	**2022**
	U.S. dollars in millions		
Sales	**4,474**	3,959	3,707
Sales to investees	**27**	29	31
Total sales	**4,501**	3,988	3,738
Cost of sales	**3,811**	3,398	3,193
Gross profit	**690**	590	545
Research and development expenses	**206**	166	137
Selling and marketing expenses	**85**	85	80
General and administrative expenses	**97**	99	101
Other income, net	**(8)**	(3)	(9)
Income in respect of early retirement of employees	**(1)**	(1)	(1)
	379	346	308
Operating income	**311**	244	237
Finance income	**152**	74	17
Finance expenses	**(38)**	(44)	(47)
Company's share of earnings of investees, net	**156**	101	57
Income before taxes on income	**581**	375	264
Taxes on income	**(97)**	(66)	(56)
Net income attributable to equity holders of the parent	**484**	309	208

The notes to the separate financial information are an integral part thereof.

Separate Financial Information as of December 31, 2024

Statement of Comprehensive Income

	Year ended December 31,		
	2024	**2023**	**2022**
	U.S. dollars in millions		
Net income attributable to equity holders of the parent	**484**	309	208
Other comprehensive income (loss) net of taxes:			
Items of other comprehensive income (loss) not carried to profit or loss:			
Remeasurement of defined benefit plans	**3**	5	43
Total items of other comprehensive income (loss) not carried to profit or loss	**3**	5	43
Items of other comprehensive income (loss) that may be carried to profit or loss:			
Gain (loss) from cash flow hedge	**37**	41	(63)
Foreign currency translation adjustments of foreign operation	**(1)**	1	(8)
Total items of other comprehensive income (loss) that may be carried to profit or loss	**36**	42	(71)
Total comprehensive income for the year	**523**	356	180

The notes to the separate financial information are an integral part thereof.

Separate Financial Information as of December 31, 2024

Statement of Cash Flows

	Year ended December 31,		
	2024	**2023**	**2022**
	U.S. dollars in millions		
Cash flows from operating activities:			
Net income	**484**	309	208
Adjustments for:			
Adjustments to profit or loss items:			
Depreciation and amortization (including impairment)	**222**	227	184
Finance expenses (income), net	**(93)**	(29)	43
Taxes on income in profit or loss	**97**	66	56
Company's share of earnings of investees, net	**(156)**	(101)	(57)
Gain from change in holding rate in associate	**(1)**	-	(11)
Dividend received from investees	**400**	49	54
Increase (decrease) in employee benefits	**9**	(4)	(49)
Changes in value of securities measured at fair value through profit or loss, net	**(4)**	2	33
Change in fair value of financial derivatives, net	**-**	1	(1)
Loss (gain) from sale of property, plant and equipment	**4**	(6)	-
	478	205	252
Changes in asset and liability items:			
Decrease (increase) in trade receivables	**(25)**	146	(342)
Decrease (increase) in other accounts receivable and current accounts with investees	**(115)**	63	(7)
Decrease (increase) in contract assets, net	**47**	(134)	139
Increase in inventories	**(56)**	(134)	(33)
Increase (decrease) in trade payables	**13**	(110)	(102)
Increase (decrease) in provisions	**23**	2	(17)
Increase in contract liabilities, net	**1,331**	424	703
Increase (decrease) in other accounts payable and current accounts with investees	**87**	75	(64)
	1,305	332	277
Cash from operating activities:			
Interest paid	**(3)**	(5)	(9)
Interest received	**105**	34	11
Taxes on income paid, net	**(47)**	(70)	(84)
	55	(41)	(82)
Net cash provided by operating activities	**2,322**	805	655

The notes to the separate financial information are an integral part thereof.

Separate Financial Information as of December 31, 2024

Statement of Cash Flows

	Year ended December 31,		
	2024	**2023**	**2022**
	U.S. dollars in millions		
Net cash provided by operating activities (brought forward)	**2,322**	805	655
Cash flows from investing activities:			
Investment in property, plant and equipment	**(143)**	(122)	(129)
Proceeds from sale and expropriation of property, plant and equipment	**17**	8	-
Investment in intangible assets	**(58)**	(69)	(95)
Proceeds from sale of (investment in) marketable securities, net	**(250)**	45	24
Short-term deposits, net	**(2,119)**	(231)	(282)
Lease payments made on or before lease inception date	**-**	(79)	-
Investments in and loans to investees, net	**(22)**	(102)	(8)
Net cash used in investing activities	**(2,575)**	(550)	(490)
Cash flows from financing activities:			
Repayment of debentures	**-**	-	(45)
Short-term loans from banks, net	**(50)**	-	(190)
Repayment of lease liability	**(16)**	(10)	(13)
Proceeds from sale of swap in respect of debenture principal	**-**	(4)	-
Net cash used in financing activities	**(66)**	(14)	(248)
Increase (decrease) in cash and cash equivalents	**(319)**	241	(83)
Cash and cash equivalents at the beginning of the year	**538**	296	417
Translation differences from balances of cash and cash equivalents	**(2)**	1	(38)
Cash and cash equivalents at the end of the year	**217**	538	296

The notes to the separate financial information are an integral part thereof.

NOTE 1:- GENERAL

The separate financial information of Israel Aerospace Industries Ltd. ("the Company") consists of financial data from the Company's consolidated financial statements as of December 31, 2024, which are issued in the context of the periodic reports ("the consolidated financial statements"), attributable to the Company itself ("separate financial information"), and presented in accordance with Regulation 9C to the Israeli Securities Regulations (Periodic and Immediate Reports), 1970 ("the Regulation") and the Tenth Addendum to the Israeli Securities Regulations (Periodic and Immediate Reports), 1970 ("the Tenth Addendum") regarding an entity's separate financial information.

The separate financial information should be read in conjunction with the consolidated financial statements.

NOTE 2:- ACCOUNTING POLICIES ADOPTED IN THE SEPARATE FINANCIAL INFORMATION

The accounting policies adopted in this separate financial information are consistent with the accounting policies described in Notes 2 and 3 to the consolidated financial statements, subject to the matter discussed in Note 1 above and as specified below:

a. The separate financial information includes statement of the financial position, profit or loss, comprehensive income and loss and cash flows included in the consolidated financial statements and attributable to the Company itself as a parent. The balances of the investments in investees and their operating results are accounted for using the equity method.

b. The accounting treatment of transactions between the Company and investees:

   1. The transactions between the Company and subsidiaries which had been eliminated in the consolidated financial statements were recognized and measured in the separate financial information. The recognition and measurement are based on the principles determined in IFRS Accounting Standards and therefore these transactions were accounted for as transactions with third parties.

   2. Net cash flows from transactions with subsidiaries attributable to the Company itself as a parent are presented in operating activities, investing activities and financing activities, as applicable.

NOTE 3:- CASH AND CASH EQUIVALENTS

Composition:

	December 31,	
	2024	2023
	U.S. dollars in millions	
Cash	**154**	243
Short-term deposits	**63**	295
Total	**217**	538

NOTE 4:- SHORT-TERM FINANCIAL ASSETS

Composition:

	December 31,	
	2024	2023
	U.S. dollars in millions	
Hedging instruments:		
Forwards	**24**	8
Options	**5**	7
Designated deposits	**16**	14
	45	29
At fair value through profit or loss:		
Government bonds	**113**	30
Corporate debentures	**213**	48
Derivatives not designated as hedging instruments	**1**	-
Mutual funds	**13**	7
	340	85
At amortized cost:		
Deposits	**2,605**	489
	2,605	489
Total	**2,990**	603

NOTE 5:- INVESTMENTS IN INVESTEES

a. Composition:

	December 31,	
	2024	**2023**
	U.S. dollars in millions	
Subsidiaries	**568**	779
Associates	**84**	86
Total	**652**	865

b. Subsidiaries:

	December 31,	
	2024	**2023**
	U.S. dollars in millions	
Equity components	**544**	767
Excess cost	**5**	6
Capital reserve	**8**	5
Unrealized gain	**(1)**	(1)
	556	777
Loans	**12**	2
Total	**568**	779

c. Associates:

	December 31,	
	2024	**2023**
	U.S. dollars in millions	
Equity components	**76**	78
Excess cost	**12**	14
Capital reserve	**1**	-
Unrealized gain	**(5)**	(6)
	84	86
Loans presented in other accounts receivable	**33**	42
Total	**117**	128

NOTE 5:- INVESTMENTS IN INVESTEES (Cont.)

d. Movement in investments:

1. As for the Company's investments in subsidiaries in the reporting period, see Note 11c(2) to the consolidated financial statements.

2. In 2024 and 2023, the Company received dividends from investees totaling approximately $ 400 million and approximately $ 49 million, respectively.

e. Mutual support agreement signed between the Company and a material wholly owned subsidiary (ELTA):

In keeping with the matter discussed in Note 21b(2) to the consolidated financial statements, in January 2019, simultaneously with the Company's signing of agreements with banks and financial institutions for updating the Company's financial covenants, the Company and ELTA signed a mutual support agreement according to which each party has undertaken towards each other (without assigning any third party right) that in the event that any party's debts to the financial creditors (banks and financial institutions and in the Company's case - also holders of the Company's outstanding debentures) are effectively placed for immediate repayment (or there is a substantial risk that they will be placed for immediate repayment) and that party is unable to repay its entire debts to the financial creditors, the other party will provide it an interest-bearing dollar loan of its own financial resources as available to it at the time. It is hereby clarified that neither party is obligated to receive a credit line, loan and/or any other type of debt or liability for the purpose of meeting the provisions of the mutual support agreement as above and that each party is entitled to pursue its activities in the ordinary course of its business at its sole discretion.

Such loan, if any, will be governed by the provisions of applicable laws as they will be on the relevant date, including subject to the lender's ability to meet its existing and expected liabilities when due after providing the loan to the other party, and also provided that the grant of the loan does not impair the lender's ability to exercise its current business plans as approved as of that date.

f. See additional information in Note 11 to the consolidated financial statements.

NOTE 6:- LINKED BALANCES - SEPARATE FINANCIAL INFORMATION

a. Composition as of December 31, 2024:

	In or linked to dollar	In CPI-linked NIS	In or linked to Euro	In or linked to other currency	In unlinked NIS	Non-monetary	Total
	U.S. dollars in millions						
Assets:							
Cash and cash equivalents	136	-	3	1	77	-	217
Short-term financial assets	2,889	-	-	-	101	-	2,990
Trade receivables	297	-	-	-	654	-	951
Contract assets, net	612	-	-	-	138	-	750
Other accounts receivable	86	63	5	-	7	520	681
Current accounts with investees	5	-	-	-	-	-	5
Inventories	-	-	-	-	-	835	835
Long-term receivables	-	-	-	-	-	58	58
Investments in investees and joint ventures	9	-	-	-	3	640	652
Property, plant and equipment	-	-	-	-	-	1,058	1,058
Intangible assets	-	-	-	-	-	339	339
Total assets	4,034	63	8	1	980	3,450	8,536
Liabilities:							
Loans and current maturities of debentures	-	-	-	-	43	-	43
Short-term financial liabilities	6	-	-	-	-	-	6
Trade payables	642	-	21	4	236	-	903
Other accounts payable	125	9	-	-	294	-	428
Provisions	186	-	-	-	39	-	225
Current accounts with investees	130	-	-	-	-	-	130
Dividend payable	259	-	-	-	179	-	438
Contract liabilities, net	8	-	-	-	18	4,166	4,192
Long-term liabilities	76	-	-	-	6	86	168
Employee benefits	-	4	-	-	186	-	190
Total liabilities	1,432	13	21	4	1,001	4,252	6,723
Net balance sheet balance	2,602	50	(13)	(3)	(21)	(802)	1,813

NOTE 6:- LINKED BALANCES - SEPARATE FINANCIAL INFORMATION (Cont.)

b. Composition as of December 31, 2023:

	In or linked to dollar	In CPI-linked NIS	In or linked to Euro	In or linked to other currency	In unlinked NIS	Non-monetary	Total
	U.S. dollars in millions						
Assets:							
Cash and cash equivalents	311	-	3	1	223	-	538
Short-term financial assets	491	-	-	-	112	-	603
Trade receivables	304	-	20	-	602	-	926
Contract assets, net	538	-	-	-	259	-	797
Other accounts receivable	69	104	5	-	7	419	604
Current accounts with investees	(17)	-	-	-	21	-	4
Inventories	-	-	-	-	-	785	785
Long-term receivables	-	-	-	-	-	19	19
Investments in investees and joint ventures	-	-	-	-	3	862	865
Property, plant and equipment	-	-	-	-	-	1,051	1,051
Intangible assets	-	-	-	-	-	295	295
Total assets	1,696	104	28	1	1,227	3,431	6,487
Liabilities:							
Loans and current maturities of debentures	50	-	-	-	43	-	93
Short-term financial liabilities	23	-	-	-	-	-	23
Trade payables	623	-	14	2	167	-	806
Other accounts payable	121	13	12	-	273	-	419
Provisions	195	-	-	-	29	-	224
Current accounts with investees	101	-	-	-	-	-	101
Dividend payable	104	-	-	-	180	-	284
Contract liabilities, net	43	-	-	-	1	2,817	2,861
Long-term liabilities	20	-	-	-	3	23	46
Employee benefits	-	7	-	-	177	-	184
Total liabilities	1,280	20	26	2	873	2,840	5,041
Net balance sheet balance	416	84	2	(1)	354	591	1,446

NOTE 7:- TAXES ON INCOME

a. Composition:

	Year ended December 31,		
	2024	2023	2022
	U.S. dollars in millions		
Current taxes	**44**	37	(8)
Taxes in respect of previous years	**1**	5	12
	45	42	4
Deferred tax expenses:			
Creation and reversal of temporary differences	**52**	24	52
Total income tax expenses	**97**	66	56

b. Reconciliation between the theoretical tax on pre-tax income and the amount of tax benefits included:

	Year ended December 31,		
	2024	2023	2022
	U.S. dollars in millions		
Income before taxes on income	**581**	375	264
Statutory tax rate	**23%**	23%	23%
Tax computed on pre-tax income at the statutory tax rate	**134**	86	61
Increase (decrease) in theoretical tax due to the following factors:			
Nondeductible expenses	**5**	-	-
Offsetting results of investees, net	**(36)**	(23)	(13)
Differences in measurement basis and other provisions	**(2)**	(2)	(4)
Losses (gains) in respect of which no deferred taxes were created	**(5)**	-	-
Taxes in respect of previous years	**1**	5	12
Taxes on income	**97**	66	56

NOTE 7:- TAXES ON INCOME (Cont.)

c. Movement in deferred taxes:

	Property, plant and equipment	Employee benefits	Cash flow hedges	Other	Total
	U.S. dollars in millions				
Balance at December 31, 2021	(29)	100	(4)	(9)	58
Changes in 2022					
Changes carried to profit or loss	(10)	(10)	-	(32)	(52)
Changes carried to other comprehensive income	-	(9)	14	-	5
Balance at December 31, 2022	(39)	81	10	(41)	11
Changes in 2023					
Changes carried to profit or loss	(6)	(1)	1	(18)	(24)
Changes carried to other comprehensive income	-	(1)	(9)	-	(10)
Balance at December 31, 2023	**(45)**	**79**	**2**	**(59)**	**(23)**
Changes in 2024					
Changes carried to profit or loss	**(8)**	**3**	**-**	**(47)**	**(52)**
Changes carried to other comprehensive income	**-**	**(1)**	**(10)**	**-**	**(11)**
Balance at December 31, 2024	**(53)**	**81**	**(8)**	**(106)**	**(86)**

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